

CHARTS AND TABLES ACCOMPANYING

# REAL ESTATE BY THE NUMBERS

A Complete Reference Guide to  
**DEAL ANALYSIS**

J Scott and Dave Meyer



# CHAPTER 1

## YOUR PERSONAL FINANCIAL STATEMENT

Chart 1

| PERSONAL FINANCIAL STATEMENT: John Robinson<br>As of December 31, 2022 |                     |                                  |                     |
|------------------------------------------------------------------------|---------------------|----------------------------------|---------------------|
| ASSETS                                                                 |                     | LIABILITIES                      |                     |
|                                                                        | Estimated Value     |                                  | Estimated Value     |
| <b>CASH OR CASH EQUIVALENT</b>                                         |                     | <b>LOANS</b>                     |                     |
| Cash on Hand                                                           | \$200.00            | Mortgage - Personal Residence    | \$138,200.00        |
| Bank - Checking Account                                                | \$20,000.00         | School Loan                      | \$26,300.00         |
| Money Owed from Bill Jones                                             | \$5,000.00          | Car Loan                         | \$3,200.00          |
| <b>RETIREMENT ACCOUNTS</b>                                             |                     | <b>REVOLVING DEBT</b>            |                     |
| Self-Directed IRA                                                      | \$54,500.00         | Credit Cards                     | \$6,800.00          |
| <b>INVESTMENTS</b>                                                     |                     | <b>OTHER</b>                     |                     |
| Stocks                                                                 | \$3,200.00          | Estimated Taxes Owed on April 15 | \$18,000.00         |
| Bonds                                                                  | \$800.00            |                                  |                     |
| <b>BUSINESS INTERESTS</b>                                              |                     |                                  |                     |
| ABC Properties, LLC                                                    | \$65,000.00         |                                  |                     |
| <b>REAL/PERSONAL PROPERTY OWNED</b>                                    |                     |                                  |                     |
| Personal Residence                                                     | \$185,000.00        |                                  |                     |
| 2013 Honda CRV                                                         | \$7,000.00          |                                  |                     |
| Furniture and Household Goods                                          | \$5,000.00          |                                  |                     |
| Jewelry                                                                | \$2,000.00          |                                  |                     |
| <b>ASSETS TOTAL</b>                                                    | <b>\$347,700.00</b> | <b>LIABILITIES TOTAL</b>         | <b>\$192,500.00</b> |
| <b>ESTIMATED NET WORTH: \$155,200.00</b>                               |                     |                                  |                     |

## Chart 2

**LIQUID ASSETS:** John Robinson  
As of December 31, 2022

### CASH OR CASH EQUIVALENT

|              |          |
|--------------|----------|
| Cash on Hand | \$200.00 |
|--------------|----------|

|                         |             |
|-------------------------|-------------|
| Bank - Checking Account | \$20,000.00 |
|-------------------------|-------------|

### INVESTMENTS

|        |            |
|--------|------------|
| Stocks | \$3,200.00 |
|--------|------------|

|       |          |
|-------|----------|
| Bonds | \$800.00 |
|-------|----------|

|                            |                    |
|----------------------------|--------------------|
| <b>TOTAL LIQUID ASSETS</b> | <b>\$24,200.00</b> |
|----------------------------|--------------------|

## Chart 3

| MONTH    | SAVINGS RATE | INVESTMENT(S) | LIQUID ASSETS |
|----------|--------------|---------------|---------------|
| Month 0  | \$(1,000.00) | \$-           | \$24,200.00   |
| Month 1  | \$(700.00)   | \$20,000.00   | \$4,200.00    |
| Month 2  | \$(700.00)   | \$-           | \$3,500.00    |
| Month 3  | \$(700.00)   | \$-           | \$2,800.00    |
| Month 4  | \$(700.00)   | \$-           | \$2,100.00    |
| Month 5  | \$(700.00)   | \$-           | \$1,400.00    |
| Month 6  | \$(700.00)   | \$-           | \$700.00      |
| Month 7  | \$(700.00)   | \$-           | \$-           |
| Month 8  | \$(700.00)   | \$-           | \$(700.00)    |
| Month 9  | \$(700.00)   | \$-           | \$(1,400.00)  |
| Month 10 | \$(700.00)   | \$-           | \$(2,100.00)  |
| Month 11 | \$(700.00)   | \$-           | \$(2,800.00)  |
| Month 12 | \$(700.00)   | \$-           | \$(3,500.00)  |

## Chart 4

| <b>SAVINGS RATE:</b> John Robinson<br>As of December 31, 2022 |                   |                       |                   |
|---------------------------------------------------------------|-------------------|-----------------------|-------------------|
| Income                                                        |                   | Expenses              |                   |
|                                                               | Estimated Value   |                       | Estimated Value   |
| <b>CASH OR CASH EQUIVALENT</b>                                |                   | <b>EXPENSES</b>       |                   |
| Monthly Salary                                                | \$4,500.00        | Tax Withholdings      | \$1,350.00        |
| Ridesharing Income                                            | \$500.00          | Mortgage Payments     | \$1,150.00        |
|                                                               |                   | Student Loan Payments | \$200.00          |
|                                                               |                   | Food & Groceries      | \$400.00          |
|                                                               |                   | Entertainment         | \$300.00          |
|                                                               |                   | Car Loan Payments     | \$200.00          |
|                                                               |                   | Gas                   | \$100.00          |
|                                                               |                   | Misc.                 | \$300.00          |
| <b>TOTAL INCOME</b>                                           | <b>\$5,000.00</b> | <b>TOTAL EXPENSES</b> | <b>\$4,000.00</b> |
| <b>SAVINGS RATE: \$1,000.00</b>                               |                   |                       |                   |

## Chart 5

| <b>INVESTABLE ASSETS:</b> John Robinson<br>As of December 31, 2022 |                    |
|--------------------------------------------------------------------|--------------------|
| Monthly Income                                                     | \$4,000.00         |
| Desired Reserve (months)                                           | 3                  |
| <b>REQUIRED RESERVE (\$)</b>                                       | <b>\$12,000.00</b> |
| Liquid Assets                                                      | \$24,200.00        |
| Required Reserves                                                  | \$(12,000.00)      |
| <b>INVESTABLE ASSETS</b>                                           | <b>\$12,200.00</b> |

## CHAPTER 2

# THE BALANCE SHEET

Chart 6

|                                             |                     |
|---------------------------------------------|---------------------|
| <b>BALANCE SHEET</b>                        |                     |
| For Year Ending December 31, 2022           |                     |
| <b>ASSETS</b>                               |                     |
| Investment in 123 Main Street               |                     |
| Land                                        | \$75,462.00         |
| Buildings/Improvements                      | \$274,538.00        |
| Furniture & Fixtures                        | \$8,254.00          |
| Accumulated Depreciation                    | \$(20,094.00)       |
|                                             | <b>\$338,160.00</b> |
| Other Assets                                |                     |
| Cash in Operating Account                   | \$16,581.00         |
| Replacement Reserves                        | \$14,000.00         |
| Rents Receivable                            | \$2,220.00          |
|                                             | <b>\$32,801.00</b>  |
| <b>TOTAL ASSETS</b>                         | <b>\$370,961.00</b> |
| <b>LIABILITIES &amp; OWNER EQUITY</b>       |                     |
| Liabilities                                 |                     |
| Mortgage Principal Balance                  | \$276,841.00        |
| Accounts Payable                            | \$16,875.00         |
| Taxes Payable                               | \$12,254.00         |
| Tenant Security Deposits                    | \$8,450.00          |
| <b>TOTAL LIABILITIES</b>                    | <b>\$314,420.00</b> |
| Owner Equity                                |                     |
| Initial Contributions                       | \$40,000.00         |
| Retained Earnings                           | \$16,541.00         |
| <b>TOTAL OWNER EQUITY</b>                   | <b>\$56,541.00</b>  |
| <b>TOTAL LIABILITIES &amp; OWNER EQUITY</b> | <b>\$370,961.00</b> |

## Chart 7

### BALANCE SHEET For Year Ending December 31, 2022

#### ASSETS

##### Investment in 123 Main Street

|                          |                     |
|--------------------------|---------------------|
| Land                     | \$75,462.00         |
| Buildings/Improvements   | \$274,538.00        |
| Furniture & Fixtures     | \$8,254.00          |
| Accumulated Depreciation | \$(20,094.00)       |
|                          | <b>\$338,160.00</b> |

##### Other Assets

|                           |                    |
|---------------------------|--------------------|
| Cash in Operating Account | \$16,581.00        |
| Replacement Reserves      | \$14,000.00        |
| Rents Receivable          | \$2,220.00         |
|                           | <b>\$32,801.00</b> |

#### TOTAL ASSETS

**\$370,961.00**

## Chart 8

#### LIABILITIES & OWNER EQUITY

##### Liabilities

|                            |                     |
|----------------------------|---------------------|
| Mortgage Principal Balance | \$276,841.00        |
| Accounts Payable           | \$16,875.00         |
| Taxes Payable              | \$12,254.00         |
| Tenant Security Deposits   | \$8,450.00          |
| <b>TOTAL LIABILITIES</b>   | <b>\$314,420.00</b> |

##### Owner Equity

|                                             |                     |
|---------------------------------------------|---------------------|
| Initial Contributions                       | \$40,000.00         |
| Retained Earnings                           | \$16,541.00         |
| <b>TOTAL OWNER EQUITY</b>                   | <b>\$56,541.00</b>  |
| <b>TOTAL LIABILITIES &amp; OWNER EQUITY</b> | <b>\$370,961.00</b> |

## CHAPTER 3

# THE PROFIT AND LOSS STATEMENT (P&L)

Chart 9

| <b>PROFIT &amp; LOSS STATEMENT - GREAT FLIPS, LLC</b><br>For the Fiscal Year 2022 (Jan. 1–Dec. 31, 2022) |            |
|----------------------------------------------------------------------------------------------------------|------------|
| <b>INCOME</b>                                                                                            |            |
| Revenue Source #1                                                                                        | \$-        |
| Revenue Source #2                                                                                        | \$-        |
| ...                                                                                                      |            |
| <b>TOTAL INCOME:</b>                                                                                     | <b>\$-</b> |
| Cost of Goods Sold (COGS) #1                                                                             | \$-        |
| Cost of Goods Sold (COGS) #2                                                                             | \$-        |
| ...                                                                                                      |            |
| <b>TOTAL COGS:</b>                                                                                       | <b>\$-</b> |
| <b>GROSS PROFIT:</b>                                                                                     | <b>\$-</b> |
| <b>EXPENSES</b>                                                                                          |            |
| Expense Source #1                                                                                        | \$-        |
| Expense Source #2                                                                                        | \$-        |
| ...                                                                                                      |            |
| <b>TOTAL OPERATING EXPENSES:</b>                                                                         | <b>\$-</b> |
| <b>OPERATING INCOME:</b>                                                                                 | <b>\$-</b> |

Chart 10

| <b>PROFIT &amp; LOSS STATEMENT - GREAT FLIPS, LLC</b><br>For the Fiscal Year 2022 (Jan. 1–Dec. 31, 2022) |                     |
|----------------------------------------------------------------------------------------------------------|---------------------|
| <b>INCOME</b>                                                                                            |                     |
| Revenue from Sale of Properties                                                                          | \$375,000.00        |
| Revenue from Commissions                                                                                 | \$25,000.00         |
| <b>TOTAL INCOME</b>                                                                                      | <b>\$400,000.00</b> |
| Property Purchase Costs                                                                                  | \$120,000.00        |
| Rehab Labor                                                                                              | \$75,000.00         |
| Rehab Materials                                                                                          | \$30,000.00         |
| Closing Costs                                                                                            | \$6,000.00          |
| <b>TOTAL COGS</b>                                                                                        | <b>\$231,000.00</b> |
| <b>GROSS PROFIT</b>                                                                                      | <b>\$169,000.00</b> |

## Chart 11

### PROFIT & LOSS STATEMENT - GREAT FLIPS, LLC For the Fiscal Year 2022 (Jan. 1–Dec. 31, 2022)

#### INCOME

|                                 |              |
|---------------------------------|--------------|
| Revenue from Sale of Properties | \$375,000.00 |
|---------------------------------|--------------|

|                          |             |
|--------------------------|-------------|
| Revenue from Commissions | \$25,000.00 |
|--------------------------|-------------|

|                     |                     |
|---------------------|---------------------|
| <b>TOTAL INCOME</b> | <b>\$400,000.00</b> |
|---------------------|---------------------|

|                         |              |
|-------------------------|--------------|
| Property Purchase Costs | \$120,000.00 |
|-------------------------|--------------|

|             |             |
|-------------|-------------|
| Rehab Labor | \$75,000.00 |
|-------------|-------------|

|                 |             |
|-----------------|-------------|
| Rehab Materials | \$30,000.00 |
|-----------------|-------------|

|               |            |
|---------------|------------|
| Closing Costs | \$6,000.00 |
|---------------|------------|

|                   |                     |
|-------------------|---------------------|
| <b>TOTAL COGS</b> | <b>\$231,000.00</b> |
|-------------------|---------------------|

|                     |                     |
|---------------------|---------------------|
| <b>GROSS PROFIT</b> | <b>\$169,000.00</b> |
|---------------------|---------------------|

#### EXPENSES

|      |            |
|------|------------|
| Rent | \$7,200.00 |
|------|------------|

|              |             |
|--------------|-------------|
| Owner Salary | \$50,000.00 |
|--------------|-------------|

|           |            |
|-----------|------------|
| Insurance | \$2,500.00 |
|-----------|------------|

|                 |          |
|-----------------|----------|
| Office Supplies | \$300.00 |
|-----------------|----------|

|       |            |
|-------|------------|
| Tools | \$2,200.00 |
|-------|------------|

|           |            |
|-----------|------------|
| Utilities | \$1,800.00 |
|-----------|------------|

|                                  |                    |
|----------------------------------|--------------------|
| <b>TOTAL OPERATING EXPENSES:</b> | <b>\$64,000.00</b> |
|----------------------------------|--------------------|

|                          |                     |
|--------------------------|---------------------|
| <b>OPERATING INCOME:</b> | <b>\$105,000.00</b> |
|--------------------------|---------------------|

|            |             |
|------------|-------------|
| 2022 Taxes | \$21,000.00 |
|------------|-------------|

|                    |                    |
|--------------------|--------------------|
| <b>NET INCOME:</b> | <b>\$84,000.00</b> |
|--------------------|--------------------|

|                     |              |
|---------------------|--------------|
| Gross Profit Margin | <b>42.3%</b> |
|---------------------|--------------|

|                         |              |
|-------------------------|--------------|
| Operating Profit Margin | <b>26.3%</b> |
|-------------------------|--------------|

|                   |              |
|-------------------|--------------|
| Net Profit Margin | <b>21.0%</b> |
|-------------------|--------------|



## CHAPTER 4

# EXAMINING A CASH-FLOWING PROPERTY

Chart 12

| EXPENSES                   |                    |
|----------------------------|--------------------|
| Property Taxes             | \$5,250.00         |
| Insurance                  | \$2,810.00         |
| Property Management        | \$8,640.00         |
| Turnover                   | \$4,800.00         |
| Repairs & Maintenance      | \$10,000.00        |
| Utilities                  | \$400.00           |
| Lawn Care                  | \$3,600.00         |
| Snow Removal               | \$-                |
| Dumpster/Trash Removal     | \$-                |
| Grounds Cleanup            | \$3,000.00         |
| Office Costs               | \$-                |
| Legal                      | \$-                |
| Accounting                 | \$1,500.00         |
| <b>OPERATING EXPENSES:</b> | <b>\$40,000.00</b> |

## Chart 13

### PROFIT & LOSS STATEMENT - CATHERINE CORP.

For the Fiscal Year 2022 (Jan. 1–Dec. 31, 2022)

| INCOME                         |                     |
|--------------------------------|---------------------|
| Gross Potential Rent           | \$120,000.00        |
| Rent Loss                      | \$(12,000.00)       |
| Other Income                   | \$3,000.00          |
| <b>GROSS OPERATING INCOME:</b> | <b>\$111,000.00</b> |
| EXPENSES                       |                     |
| Property Taxes                 | \$5,250.00          |
| Insurance                      | \$2,810.00          |
| Property Management            | \$8,640.00          |
| Turnover                       | \$4,800.00          |
| Repairs & Maintenance          | \$10,000.00         |
| Utilities                      | \$400.00            |
| Lawn Care                      | \$3,600.00          |
| Snow Removal                   | \$-                 |
| Dumpster/Trash Removal         | \$-                 |
| Grounds Cleanup                | \$3,000.00          |
| Office Costs                   | \$-                 |
| Legal                          | \$-                 |
| Accounting                     | \$1,500.00          |
| <b>OPERATING EXPENSES:</b>     | <b>\$40,000.00</b>  |
| <b>NET OPERATING INCOME:</b>   | <b>\$71,000.00</b>  |

## Chart 14

### PROFIT & LOSS STATEMENT - CATHERINE CORP.

For the Fiscal Year 2022 (Jan. 1–Dec. 31, 2022)

| INCOME                         |                     |
|--------------------------------|---------------------|
| Gross Potential Rent           | \$120,000.00        |
| Rent Loss                      | \$(12,000.00)       |
| Other Income                   | \$3,000.00          |
| <b>GROSS OPERATING INCOME:</b> | <b>\$111,000.00</b> |
| EXPENSES                       |                     |
| Property Taxes                 | \$5,250.00          |
| Insurance                      | \$2,810.00          |
| Property Management            | \$8,640.00          |
| Turnover                       | \$4,800.00          |
| Repairs & Maintenance          | \$10,000.00         |
| Utilities                      | \$400.00            |
| Lawn Care                      | \$3,600.00          |
| Snow Removal                   | \$-                 |
| Dumpster/Trash Removal         | \$-                 |
| Grounds Cleanup                | \$3,000.00          |
| Office Costs                   | \$-                 |
| Legal                          | \$-                 |
| Accounting                     | \$1,500.00          |
| <b>OPERATING EXPENSES:</b>     | <b>\$40,000.00</b>  |
| <b>NET OPERATING INCOME:</b>   | <b>\$71,000.00</b>  |
| Debt Service                   | \$(40,200.00)       |
| Capital Expenses               | \$(5,000.00)        |
| <b>CASH FLOW BEFORE TAX</b>    | <b>\$25,800.00</b>  |

## CHAPTER 6

# COMPOUNDING EFFECTS

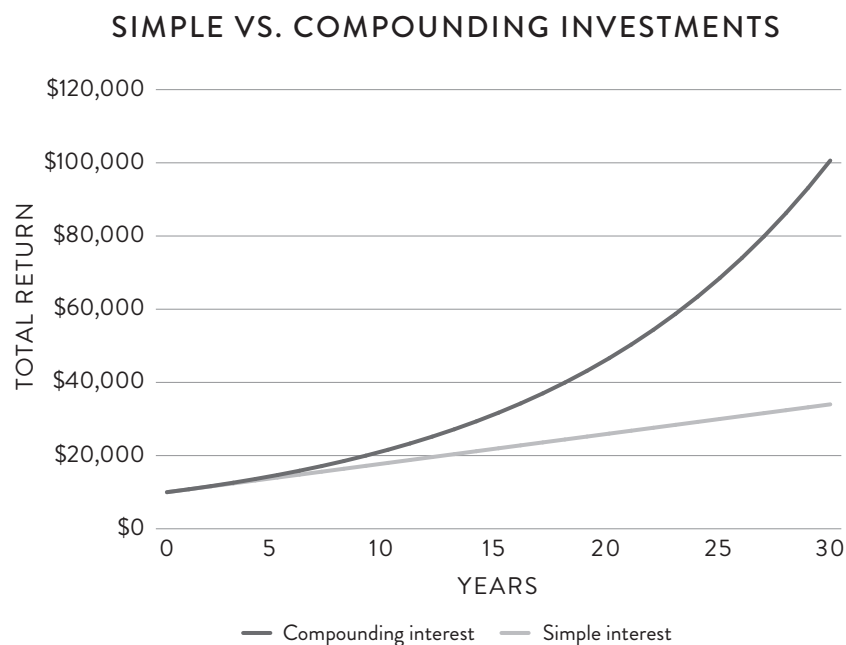
Chart 15

|        | YEAR-END BALANCE | INTEREST RATE | ANNUAL PROFIT |
|--------|------------------|---------------|---------------|
| Year 1 | \$10,000.00      | 5%            | \$500.00      |
| Year 2 | \$10,000.00      | 5%            | \$500.00      |
| Year 3 | \$10,000.00      | 5%            | \$500.00      |
| Year 4 | \$10,000.00      | 5%            | \$500.00      |
| Year 5 | \$10,000.00      | 5%            | \$500.00      |

Chart 16

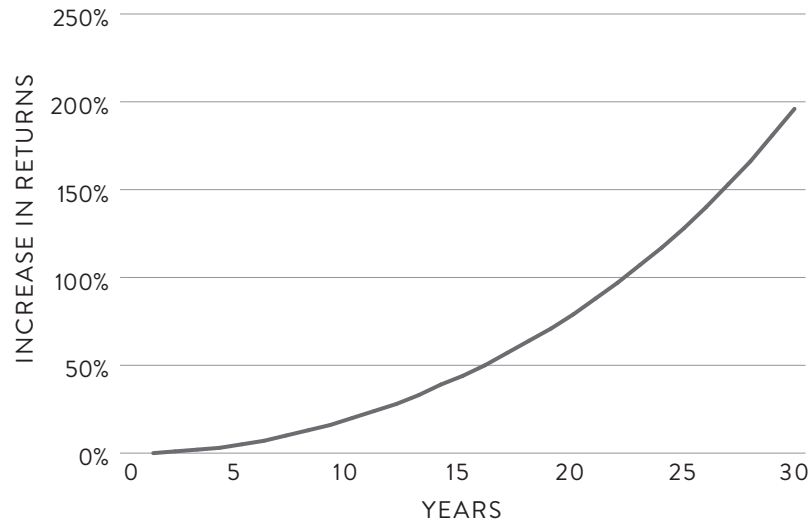
|        | YEAR-END BALANCE | INTEREST RATE | ANNUAL PROFIT |
|--------|------------------|---------------|---------------|
| Year 1 | \$10,000.00      | 5%            | \$500.00      |
| Year 2 | \$10,500.00      | 5%            | \$525.00      |
| Year 3 | \$11,025.00      | 5%            | \$551.25      |
| Year 4 | \$11,576.25      | 5%            | \$578.81      |
| Year 5 | \$12,155.06      | 5%            | \$607.75      |

Graph 17



## Graph 18

### SIMPLE VS. COMPOUNDING INVESTMENTS (% DIFFERENCE)



## CHAPTER 7 EXPECTED VALUE

### Chart 19

Expected value of each investment

#### Company A

$$EV = (-\$10,000 \times 70\%) + (\$0 \times 20\%) + (\$250,000 \times 10\%)$$

$$EV = -\$7,000 + \$0 + \$25,000$$

$$EV = \$18,000$$

#### Company B

$$EV = (-\$10,000 \times 10\%) + (\$10,000 \times 60\%) + (\$30,000 \times 30\%)$$

$$EV = -\$1,000 + \$6,000 + \$9,000$$

$$EV = \$14,000$$

## CHAPTER 8

# TIME VALUE OF MONEY

Chart 20

| MONTH              | PRINCIPAL         | ROR | RETURN  |
|--------------------|-------------------|-----|---------|
| January            | \$1,000.00        | 1%  | \$10.00 |
| February           | \$1,010.00        | 1%  | \$10.10 |
| March              | \$1,020.10        | 1%  | \$10.20 |
| April              | \$1,030.30        | 1%  | \$10.30 |
| May                | \$1,040.60        | 1%  | \$10.41 |
| June               | \$1,051.01        | 1%  | \$10.51 |
| July               | \$1,061.52        | 1%  | \$10.62 |
| August             | \$1,072.14        | 1%  | \$10.72 |
| September          | \$1,082.86        | 1%  | \$10.83 |
| October            | \$1,093.69        | 1%  | \$10.94 |
| November           | \$1,104.62        | 1%  | \$11.05 |
| December           | \$1,115.67        | 1%  | \$11.16 |
| <b>End of Year</b> | <b>\$1,126.83</b> |     |         |

Chart 21

| MONTH                           | FV         | DISCOUNT RATE | PV       |
|---------------------------------|------------|---------------|----------|
| December                        | \$1,000.00 | 1%            | \$990.10 |
| November                        | \$990.10   | 1%            | \$980.30 |
| October                         | \$980.30   | 1%            | \$970.59 |
| September                       | \$970.59   | 1%            | \$960.98 |
| August                          | \$960.98   | 1%            | \$951.47 |
| July                            | \$951.47   | 1%            | \$942.05 |
| June                            | \$942.05   | 1%            | \$932.72 |
| May                             | \$932.72   | 1%            | \$923.48 |
| April                           | \$923.48   | 1%            | \$914.34 |
| March                           | \$914.34   | 1%            | \$905.29 |
| February                        | \$905.29   | 1%            | \$896.32 |
| January                         | \$896.32   | 1%            | \$887.45 |
| <b>Present Value = \$887.45</b> |            |               |          |

## CHAPTER 9

# DISCOUNTED CASH FLOW (DCF) ANALYSIS

Chart 22

#38

**Discounted cash flow (DCF)** gives you the present value of an entire stream of income.

$$DCF = (CF_1 \div (1 + i)^1) + (CF_2 \div (1 + i)^2) + \dots + (CF_x \div (1 + i)^x)$$

where

CF is each of the future cash flows, and  
i is the discount rate.

Chart 23

Property 1  
Discount Rate: 8.00%

| YEAR           | CASH FLOW        | PRESENT VALUE    |
|----------------|------------------|------------------|
| 1              | \$5,000          | \$4,630          |
| 2              | \$8,000          | \$6,859          |
| 3              | \$12,000         | \$9,526          |
| 4              | \$125,000        | \$91,879         |
| <b>TOTALS:</b> | <b>\$150,000</b> | <b>\$112,893</b> |

Chart 24

Property 2  
Discount Rate: 8.00%

| YEAR           | CASH FLOW        | PRESENT VALUE    |
|----------------|------------------|------------------|
| 1              | \$15,000         | \$13,889         |
| 2              | \$15,000         | \$12,860         |
| 3              | \$15,000         | \$11,907         |
| 4              | \$105,000        | \$77,178         |
| <b>TOTALS:</b> | <b>\$150,000</b> | <b>\$115,835</b> |

## Chart 25

| Discount Rate: 8.00% |           |                    |                                    |
|----------------------|-----------|--------------------|------------------------------------|
| YEAR                 | CASH FLOW | PRESENT VALUE      | EQUATION                           |
| 1                    | \$200,000 | \$185,185          | $\$200,000 \div ((1 + 0.08)^1)$    |
| 2                    | \$200,000 | \$171,468          | $\$200,000 \div ((1 + 0.08)^2)$    |
| 3                    | \$200,000 | \$158,766          | $\$200,000 \div ((1 + 0.08)^3)$    |
| 4                    | \$200,000 | \$147,006          | $\$200,000 \div ((1 + 0.08)^4)$    |
| 5                    | \$200,000 | \$136,117          | $\$200,000 \div ((1 + 0.08)^5)$    |
| 6                    | \$200,000 | \$126,034          | $\$200,000 \div ((1 + 0.08)^6)$    |
| 7                    | \$200,000 | \$116,698          | $\$200,000 \div ((1 + 0.08)^7)$    |
| 8                    | \$200,000 | \$108,054          | $\$200,000 \div ((1 + 0.08)^8)$    |
| 9                    | \$200,000 | \$100,050          | $\$200,000 \div ((1 + 0.08)^9)$    |
| 10                   | \$200,000 | \$92,639           | $\$200,000 \div ((1 + 0.08)^{10})$ |
| 11                   | \$200,000 | \$85,777           | $\$200,000 \div ((1 + 0.08)^{11})$ |
| 12                   | \$200,000 | \$79,423           | $\$200,000 \div ((1 + 0.08)^{12})$ |
| 13                   | \$200,000 | \$73,540           | $\$200,000 \div ((1 + 0.08)^{13})$ |
| 14                   | \$200,000 | \$68,092           | $\$200,000 \div ((1 + 0.08)^{14})$ |
| 15                   | \$200,000 | \$63,048           | $\$200,000 \div ((1 + 0.08)^{15})$ |
| 16                   | \$200,000 | \$58,378           | $\$200,000 \div ((1 + 0.08)^{16})$ |
| 17                   | \$200,000 | \$54,054           | $\$200,000 \div ((1 + 0.08)^{17})$ |
| 18                   | \$200,000 | \$50,050           | $\$200,000 \div ((1 + 0.08)^{18})$ |
| 19                   | \$200,000 | \$46,342           | $\$200,000 \div ((1 + 0.08)^{19})$ |
| 20                   | \$200,000 | \$42,910           | $\$200,000 \div ((1 + 0.08)^{20})$ |
| 21                   | \$200,000 | \$39,731           | $\$200,000 \div ((1 + 0.08)^{21})$ |
| 22                   | \$200,000 | \$36,788           | $\$200,000 \div ((1 + 0.08)^{22})$ |
| 23                   | \$200,000 | \$34,063           | $\$200,000 \div ((1 + 0.08)^{23})$ |
| 24                   | \$200,000 | \$31,540           | $\$200,000 \div ((1 + 0.08)^{24})$ |
| 25                   | \$200,000 | \$29,204           | $\$200,000 \div ((1 + 0.08)^{25})$ |
| <b>TOTALS:</b>       |           | <b>\$2,134,955</b> |                                    |



## CHAPTER 10

# NET PRESENT VALUE (NPV)

Chart 26

| Discount Rate: 12%     |                          |            |                   |                                  |
|------------------------|--------------------------|------------|-------------------|----------------------------------|
| Initial Cost: \$77,000 |                          |            |                   |                                  |
|                        | YEAR                     | CASH FLOW  | PRESENT VALUE     | FORMULA                          |
| 1/1/20                 | 0                        | \$(77,000) | \$(77,000)        |                                  |
| 1/1/21                 | 1                        | \$9,600    | \$8,571           | $PV = (9,600 \div (1+.12)^1)$    |
| 1/1/22                 | 2                        | \$9,600    | \$7,653           | $PV = (9,600 \div (1+.12)^2)$    |
| 1/1/23                 | 3                        | \$9,600    | \$6,833           | $PV = (9,600 \div (1+.12)^3)$    |
| 1/1/24                 | 4                        | \$9,600    | \$6,101           | $PV = (9,600 \div (1+.12)^4)$    |
| 1/1/25                 | 5                        | \$9,600    | \$5,447           | $PV = (9,600 \div (1+.12)^5)$    |
| 1/1/26                 | 6                        | \$9,600    | \$4,864           | $PV = (9,600 \div (1+.12)^6)$    |
| 1/1/27                 | 7                        | \$9,600    | \$4,343           | $PV = (9,600 \div (1+.12)^7)$    |
| 1/1/28                 | 8                        | \$9,600    | \$3,877           | $PV = (9,600 \div (1+.12)^8)$    |
| 1/1/29                 | 9                        | \$9,600    | \$3,462           | $PV = (9,600 \div (1+.12)^9)$    |
| 1/1/30                 | 10                       | \$9,600    | \$3,091           | $PV = (9,600 \div (1+.12)^{10})$ |
|                        | <b>NET PRESENT VALUE</b> |            | <b>\$(22,758)</b> |                                  |

Chart 27

| Discount Rate: 12%     |                          |            |               |
|------------------------|--------------------------|------------|---------------|
| Initial Cost: \$54,242 |                          |            |               |
|                        | YEAR                     | CASH FLOW  | PRESENT VALUE |
| 1/1/20                 | 0                        | \$(54,242) | \$(54,242)    |
| 1/1/21                 | 1                        | \$9,600    | \$8,571       |
| 1/1/22                 | 2                        | \$9,600    | \$7,653       |
| 1/1/23                 | 3                        | \$9,600    | \$6,833       |
| 1/1/24                 | 4                        | \$9,600    | \$6,101       |
| 1/1/25                 | 5                        | \$9,600    | \$5,447       |
| 1/1/26                 | 6                        | \$9,600    | \$4,864       |
| 1/1/27                 | 7                        | \$9,600    | \$4,343       |
| 1/1/28                 | 8                        | \$9,600    | \$3,877       |
| 1/1/29                 | 9                        | \$9,600    | \$3,462       |
| 1/1/30                 | 10                       | \$9,600    | \$3,091       |
|                        | <b>NET PRESENT VALUE</b> |            | <b>\$0.00</b> |

## Chart 28

| Discount Rate: 5%       |      |                          |                   |
|-------------------------|------|--------------------------|-------------------|
| Initial Cost: \$100,000 |      |                          |                   |
|                         | YEAR | CASH FLOW                | PRESENT VALUE     |
| 1/1/20                  | 0    | (\$100,000)              | (\$100,000)       |
| 1/1/21                  | 1    | \$2,000                  | \$1,905           |
| 1/1/22                  | 2    | \$2,000                  | \$1,814           |
| 1/1/23                  | 3    | \$2,000                  | \$1,728           |
| 1/1/24                  | 4    | \$2,000                  | \$1,645           |
| 1/1/25                  | 5    | \$130,000                | \$101,858         |
|                         |      | <b>NET PRESENT VALUE</b> | <b>\$8,950.30</b> |

# CHAPTER 11

## INTERNAL RATE OF RETURN (IRR)

Chart 29

| Discount Rate: 5%       |      |                          |                   |
|-------------------------|------|--------------------------|-------------------|
| Initial Cost: \$100,000 |      |                          |                   |
|                         | YEAR | CASH FLOW                | PRESENT VALUE     |
| 1/1/20                  | 0    | (\$100,000)              | (\$100,000)       |
| 1/1/21                  | 1    | \$2,000                  | \$1,905           |
| 1/1/22                  | 2    | \$2,000                  | \$1,814           |
| 1/1/23                  | 3    | \$2,000                  | \$1,728           |
| 1/1/24                  | 4    | \$2,000                  | \$1,645           |
| 1/1/25                  | 5    | \$130,000                | \$101,858         |
|                         |      | <b>NET PRESENT VALUE</b> | <b>\$8,950.30</b> |

Chart 30

| Discount Rate: 6.87%    |      |                          |               |
|-------------------------|------|--------------------------|---------------|
| Initial Cost: \$100,000 |      |                          |               |
|                         | YEAR | CASH FLOW                | PRESENT VALUE |
| 1/1/20                  | 0    | \$(100,000)              | \$(100,000)   |
| 1/1/21                  | 1    | \$2,000                  | \$1,871       |
| 1/1/22                  | 2    | \$2,000                  | \$1,751       |
| 1/1/23                  | 3    | \$2,000                  | \$1,638       |
| 1/1/24                  | 4    | \$2,000                  | \$1,533       |
| 1/1/25                  | 5    | \$130,000                | \$93,241      |
|                         |      | <b>NET PRESENT VALUE</b> | <b>\$0</b>    |

Image 31

| C8 |        |   |             | $\times$ | $\checkmark$ | $f_x$ | =XIRR(C2:C7, A2:A7) |
|----|--------|---|-------------|----------|--------------|-------|---------------------|
|    | A      | B | C           |          |              |       |                     |
| 1  | Year   |   | Cashflow    |          |              |       |                     |
| 2  | 1/1/20 | 0 | (\$100,000) |          |              |       |                     |
| 3  | 1/1/21 | 1 | \$2,000     |          |              |       |                     |
| 4  | 1/1/22 | 2 | \$2,000     |          |              |       |                     |
| 5  | 1/1/23 | 3 | \$2,000     |          |              |       |                     |
| 6  | 1/1/24 | 4 | \$2,000     |          |              |       |                     |
| 7  | 1/1/25 | 5 | \$130,000   |          |              |       |                     |
| 8  | IRR    |   | 6.87%       |          |              |       |                     |

## CHAPTER 12

# INTRODUCTION TO REAL ESTATE TAXES

Chart 32

|                             |                 |
|-----------------------------|-----------------|
| NOI                         | <b>\$61,428</b> |
| Interest Paid               | <b>\$32,817</b> |
| Purchase Price              | \$1,000,000     |
| Structure Value (%)         | 73%             |
| Structure Cost (\$)         | \$730,000       |
| Depreciation Period (Years) | 27.5            |
| Depreciation (\$)           | <b>\$26,545</b> |
| Mortgage "Points"           | \$13,000        |
| Amortization Period (Years) | 25              |
| Amortization (\$)           | <b>\$520</b>    |
| <b>Taxable Income</b>       | <b>\$1,546</b>  |
| Tax Rate                    | 24%             |
| Taxes Owed                  | \$370.93        |

# CHAPTER 14

## ASKING THE RIGHT QUESTIONS

Chart 33

|                                    | ANSWERS |    |    |    |
|------------------------------------|---------|----|----|----|
| RETURN METRIC                      | Q1      | Q2 | Q3 | Q4 |
| Profit                             | X       |    |    |    |
| Net Operating Income (NOI)         | X       |    |    |    |
| Cash Flow (CF)                     | X       |    |    |    |
| Return on Investment (ROI)         |         | X  |    |    |
| Equity Multiplier (EM)             |         | X  |    |    |
| Capitalization Rate (Cap Rate)     |         |    | X  |    |
| Cash-on-Cash Return (COC)          |         |    | X  |    |
| Average Annual Return (AAR)        |         |    | X  |    |
| Compound Annual Growth Rate (CAGR) |         |    |    | X  |
| Internal Rate of Return (IRR)      |         |    |    | X  |

## CHAPTER 15

# MEASUREMENTS OF PROFIT

Chart 34

| <b>PROFIT &amp; LOSS STATEMENT - CATHERINE CORP.</b> |                     |
|------------------------------------------------------|---------------------|
| For the Fiscal Year 2022 (Jan. 1–Dec. 31, 2022)      |                     |
| <b>INCOME</b>                                        |                     |
| Gross Potential Rent                                 | \$120,000.00        |
| Rent Loss                                            | \$(12,000.00)       |
| Other Income                                         | \$3,000.00          |
| <b>GROSS OPERATING INCOME:</b>                       | <b>\$111,000.00</b> |
| <b>EXPENSES</b>                                      |                     |
| Property Taxes                                       | \$5,250.00          |
| Insurance                                            | \$2,810.00          |
| Property Management                                  | \$8,640.00          |
| Turnover                                             | \$4,800.00          |
| Repairs & Maintenance                                | \$10,000.00         |
| Utilities                                            | \$400.00            |
| Lawn Care                                            | \$3,600.00          |
| Snow Removal                                         | \$-                 |
| Dumpster/Trash Removal                               | \$-                 |
| Grounds Cleanup                                      | \$3,000.00          |
| Office Costs                                         | \$-                 |
| Legal                                                | \$-                 |
| Accounting                                           | \$1,500.00          |
| <b>OPERATING EXPENSES:</b>                           | <b>\$40,000.00</b>  |
| <b>NET OPERATING INCOME:</b>                         | <b>\$71,000.00</b>  |
| Debt Service                                         | \$(40,200.00)       |
| Capital Expenses                                     | \$(5,000.00)        |
| <b>CASH FLOW BEFORE TAXES</b>                        | <b>\$25,800.00</b>  |

## Chart 35

### PROFIT & LOSS STATEMENT - CATHERINE CORP.

For the Fiscal Year 2022 (Jan. 1–Dec. 31, 2022)

| INCOME                         |                     |
|--------------------------------|---------------------|
| Gross Potential Rent           | \$120,000.00        |
| Rent Loss                      | \$(12,000.00)       |
| Other Income                   | \$3,000.00          |
| <b>GROSS OPERATING INCOME:</b> | <b>\$111,000.00</b> |
| EXPENSES                       |                     |
| Property Taxes                 | \$5,250.00          |
| Insurance                      | \$2,810.00          |
| Property Management            | \$8,640.00          |
| Turnover                       | \$4,800.00          |
| Repairs & Maintenance          | \$10,000.00         |
| Utilities                      | \$400.00            |
| Lawn Care                      | \$3,600.00          |
| Snow Removal                   | \$-                 |
| Dumpster/Trash Removal         | \$-                 |
| Grounds Cleanup                | \$3,000.00          |
| Office Costs                   | \$-                 |
| Legal                          | \$-                 |
| Accounting                     | \$1,500.00          |
| <b>OPERATING EXPENSES:</b>     | <b>\$40,000.00</b>  |
| <b>NET OPERATING INCOME:</b>   | <b>\$71,000.00</b>  |
| Debt Service                   | \$(40,200.00)       |
| Capital Expenses               | \$(5,000.00)        |
| <b>CASH FLOW BEFORE TAXES</b>  | <b>\$25,800.00</b>  |
| Tax Rate                       | 35%                 |
| Taxes Owed                     | \$(9,100.00)        |
| <b>CASH FLOW AFTER TAXES</b>   | <b>\$16,900.00</b>  |



## CHAPTER 20

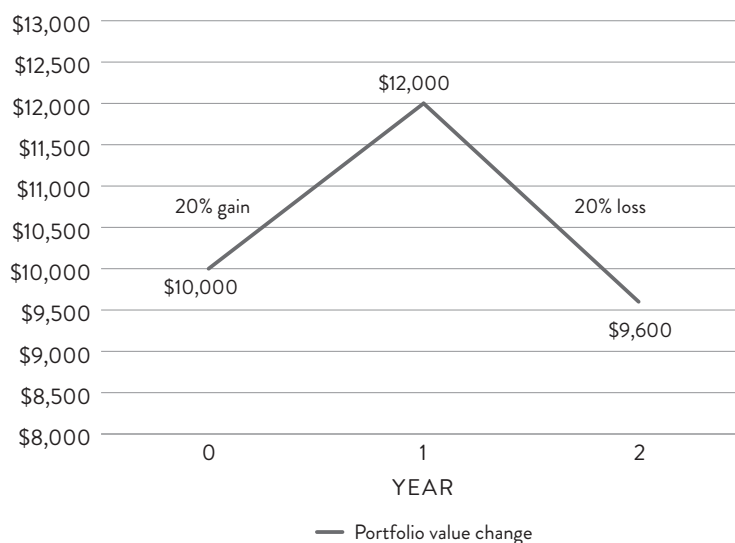
# AVERAGE ANNUAL RETURN (AAR)

**Chart 36**

| YEAR   | PORTFOLIO VALUE | ANNUAL GROWTH RATE |
|--------|-----------------|--------------------|
| Year 0 | \$10,000        |                    |
| Year 1 | \$11,500        | 15%                |
| Year 2 | \$13,570        | 18%                |
| Year 3 | \$11,942        | -12%               |
| Year 4 | \$10,867        | -9%                |
| Year 5 | \$10,324        | -5%                |
| Year 6 | \$9,085         | -12%               |
| Year 7 | \$10,902        | 20%                |
| Year 8 | \$12,537        | 15%                |
| Year 9 | \$14,041        | 12%                |

**Graph 37**

### 20% GAIN FOLLOWED BY 20% LOSS



## Chart 38

| YEAR               | ROI | BALANCE   |
|--------------------|-----|-----------|
| <b>SCENARIO #1</b> |     |           |
| 0                  |     | \$100,000 |
| 1                  | 10% | \$110,000 |
| 2                  | 10% | \$121,000 |
| 3                  | 10% | \$133,100 |
| <b>AAR = 10%</b>   |     |           |
| <b>SCENARIO #2</b> |     |           |
| 0                  |     | \$100,000 |
| 1                  | 15% | \$115,000 |
| 2                  | 10% | \$126,500 |
| 3                  | 5%  | \$132,825 |
| <b>AAR = 10%</b>   |     |           |
| <b>SCENARIO #3</b> |     |           |
| 0                  |     | \$100,000 |
| 1                  | 20% | \$120,000 |
| 2                  | 10% | \$132,000 |
| 3                  | 0%  | \$132,000 |
| <b>AAR = 10%</b>   |     |           |
| <b>SCENARIO #4</b> |     |           |
| 0                  |     | \$100,000 |
| 1                  | 30% | \$130,000 |
| 2                  | 0%  | \$130,000 |
| 3                  | 0%  | \$130,000 |
| <b>AAR = 10%</b>   |     |           |

## CHAPTER 21

# COMPOUND ANNUAL GROWTH RATE (CAGR)

**Chart 39**

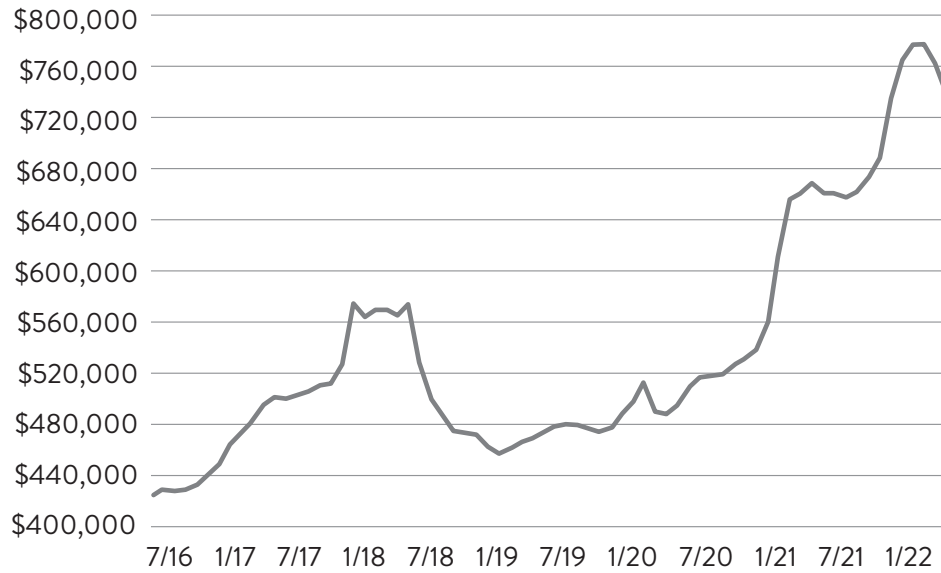
| YEAR   | PORTFOLIO VALUE | ANNUAL GROWTH RATE |
|--------|-----------------|--------------------|
| Year 0 | \$10,000        |                    |
| Year 1 | \$11,500        | 15%                |
| Year 2 | \$13,570        | 18%                |
| Year 3 | \$11,942        | -12%               |
| Year 4 | \$10,867        | -9%                |
| Year 5 | \$10,324        | -5%                |
| Year 6 | \$9,085         | -12%               |
| Year 7 | \$10,902        | 20%                |
| Year 8 | \$12,537        | 15%                |
| Year 9 | \$14,041        | 12%                |

**Chart 40**

| YEAR   | PORTFOLIO VALUE | ANNUAL GROWTH RATE |
|--------|-----------------|--------------------|
| Year 0 | \$10,000.00     | 4.67%              |
| Year 1 | \$10,467.00     | 4.67%              |
| Year 2 | \$10,955.81     | 4.67%              |
| Year 3 | \$11,467.45     | 4.67%              |
| Year 4 | \$12,002.97     | 4.67%              |
| Year 5 | \$12,563.51     | 4.67%              |
| Year 6 | \$13,150.23     | 4.67%              |
| Year 7 | \$13,764.35     | 4.67%              |
| Year 8 | \$14,407.14     | 4.67%              |
| Year 9 | \$15,079.95     | 4.67%              |

Graph 41

HOUSING INVENTORY: AVERAGE LISTING PRICE IN  
LAS VEGAS-HENDERSON-PARADISE, NV (CBSA)



Source: Realtor.com; fred.stlouisfed.org

## CHAPTER 22

# CALCULATING INTERNAL RATE OF RETURN (IRR)

Chart 42

| DATE       | MONTH # | CASH FLOWS    |
|------------|---------|---------------|
| Aug-08     | 0       | -\$63,500     |
| Sep-08     | 1       | -\$17,000     |
| Oct-08     | 2       | -\$17,000     |
| Nov-08     | 3       | \$0           |
| Dec-08     | 4       | \$0           |
| Jan-09     | 5       | \$0           |
| Feb-09     | 6       | \$0           |
| Mar-09     | 7       | \$0           |
| Apr-09     | 8       | \$0           |
| May-09     | 9       | \$1,000       |
| Jun-09     | 10      | \$1,000       |
| Jul-09     | 11      | \$1,000       |
| Aug-09     | 12      | -\$400        |
| Sep-09     | 13      | \$1,000       |
| Oct-09     | 14      | \$1,000       |
| Nov-09     | 15      | \$1,000       |
| Dec-09     | 16      | \$1,000       |
| Jan-10     | 17      | \$1,000       |
| Feb-10     | 18      | \$1,000       |
| Mar-10     | 19      | \$1,000       |
| Apr-10     | 20      | \$1,000       |
| May-10     | 21      | \$1,000       |
| Jun-10     | 22      | \$1,000       |
| Jul-10     | 23      | \$1,000       |
| Aug-10     | 24      | \$62,920      |
| Sep-10     | 25      | \$1,000       |
| Oct-10     | 26      | \$1,000       |
| Nov-10     | 27      | \$1,000       |
| Dec-10     | 28      | \$1,000       |
| Jan-11     | 29      | \$1,000       |
| Feb-11     | 30      | \$1,000       |
| Mar-11     | 31      | \$1,000       |
| Apr-11     | 32      | \$1,000       |
| May-11     | 33      | \$1,000       |
| Jun-11     | 34      | \$1,000       |
| Jul-11     | 35      | \$50,000      |
| <b>IRR</b> |         | <b>16.21%</b> |

## CHAPTER 23

# COMPARING INVESTMENTS

Chart 43

| INVESTMENT 1 |                 | INVESTMENT 2 |                 |
|--------------|-----------------|--------------|-----------------|
| YEAR         | ACCOUNT BALANCE | YEAR         | ACCOUNT BALANCE |
| Year 0       | \$1,000         | Year 0       | \$1,000         |
| Year 1       | \$1,200         | Year 1       | \$1,200         |
| Year 2       | \$1,250         | Year 2       | \$1,250         |
| Year 3       | \$1,400         | Year 3       | \$1,400         |
| Year 4       | \$1,300         | Year 4       | \$1,300         |
| Year 5       | \$1,150         | Year 5       | \$1,450         |
| Year 6       | \$1,600         | Year 6       | \$1,600         |
| Year 7       | \$1,800         | Year 7       | \$1,900         |
| Year 8       | \$2,000         |              |                 |
| Year 9       | \$2,100         |              |                 |
| Year 10      | \$2,400         |              |                 |

Chart 44

| INVESTMENT 1 |                 |      | INVESTMENT 2 |                 |     |
|--------------|-----------------|------|--------------|-----------------|-----|
| YEAR         | ACCOUNT BALANCE | ROI  | YEAR         | ACCOUNT BALANCE | ROI |
| Year 0       | \$1,000         |      | Year 0       | \$1,000         |     |
| Year 1       | \$1,200         | 20%  | Year 1       | \$1,200         | 20% |
| Year 2       | \$1,250         | 4%   | Year 2       | \$1,250         | 4%  |
| Year 3       | \$1,400         | 12%  | Year 3       | \$1,400         | 12% |
| Year 4       | \$1,300         | -7%  | Year 4       | \$1,300         | -7% |
| Year 5       | \$1,150         | -12% | Year 5       | \$1,450         | 12% |
| Year 6       | \$1,600         | 39%  | Year 6       | \$1,600         | 10% |
| Year 7       | \$1,800         | 13%  | Year 7       | \$1,900         | 19% |
| Year 8       | \$2,000         | 11%  |              |                 |     |
| Year 9       | \$2,100         | 5%   |              |                 |     |
| Year 10      | \$2,400         | 14%  |              |                 |     |

Chart 45

| INVESTMENT 1 |                 |      | INVESTMENT 2 |                 |     |
|--------------|-----------------|------|--------------|-----------------|-----|
| YEAR         | ACCOUNT BALANCE | ROI  | YEAR         | ACCOUNT BALANCE | ROI |
| Year 0       | \$1,000         |      | Year 0       | \$1,000         |     |
| Year 1       | \$1,200         | 20%  | Year 1       | \$1,200         | 20% |
| Year 2       | \$1,250         | 4%   | Year 2       | \$1,250         | 4%  |
| Year 3       | \$1,400         | 12%  | Year 3       | \$1,400         | 12% |
| Year 4       | \$1,300         | -7%  | Year 4       | \$1,300         | -7% |
| Year 5       | \$1,150         | -12% | Year 5       | \$1,450         | 12% |
| Year 6       | \$1,600         | 39%  | Year 6       | \$1,600         | 10% |
| Year 7       | \$1,800         | 13%  | Year 7       | \$1,900         | 19% |
| Year 8       | \$2,000         | 11%  |              |                 |     |
| Year 9       | \$2,100         | 5%   |              |                 |     |
| Year 10      | \$2,400         | 14%  |              |                 |     |
| ROI 140%     |                 |      | ROI 90%      |                 |     |
| AAR 9.95%    |                 |      | AAR 9.95%    |                 |     |
| CAGR 9.15%   |                 |      | CAGR 9.60%   |                 |     |

Chart 46

|        | YEAR | CASH FLOWS |
|--------|------|------------|
| Jan-22 | 0    | -\$201,900 |
| Jan-23 | 1    | \$36,996   |
| Jan-24 | 2    | \$38,331   |
| Jan-25 | 3    | \$39,706   |
| Jan-26 | 4    | \$41,122   |
| Jan-27 | 5    | \$42,581   |
| Jan-28 | 6    | \$44,083   |
| Jan-29 | 7    | \$45,631   |
| Jan-30 | 8    | \$47,224   |
| Jan-31 | 9    | \$48,866   |
| Jan-32 | 10   | \$645,080  |
| IRR    |      | 25.85%     |

### Chart 47

|        | YEAR | CASH FLOWS |
|--------|------|------------|
| Jan-22 | 0    | -\$102,800 |
| Jan-23 | 1    | \$17,192   |
| Jan-24 | 2    | \$18,008   |
| Jan-25 | 3    | \$18,848   |
| Jan-26 | 4    | \$19,713   |
| Jan-27 | 5    | \$20,605   |
| Jan-28 | 6    | \$21,523   |
| Jan-29 | 7    | \$22,469   |
| Jan-30 | 8    | \$23,443   |
| Jan-31 | 9    | \$24,446   |
| Jan-32 | 10   | \$530,219  |
| IRR    |      | 28.69%     |



## CHAPTER 24 PROPERTY VALUATION

Chart 48

| Discount rate: 7.50% |           |               |                           |
|----------------------|-----------|---------------|---------------------------|
| YEAR                 | CASH FLOW | PROPERTY SALE | PRESENT VALUE             |
| 1                    | \$115,000 |               | \$106,977                 |
| 2                    | \$122,000 |               | \$105,571                 |
| 3                    | \$173,000 |               | \$139,258                 |
| 4                    | \$154,000 |               | \$115,315                 |
| 5                    | \$160,000 | \$2,380,000   | \$1,769,259               |
|                      |           |               | <b>Total: \$2,236,380</b> |

Chart 49

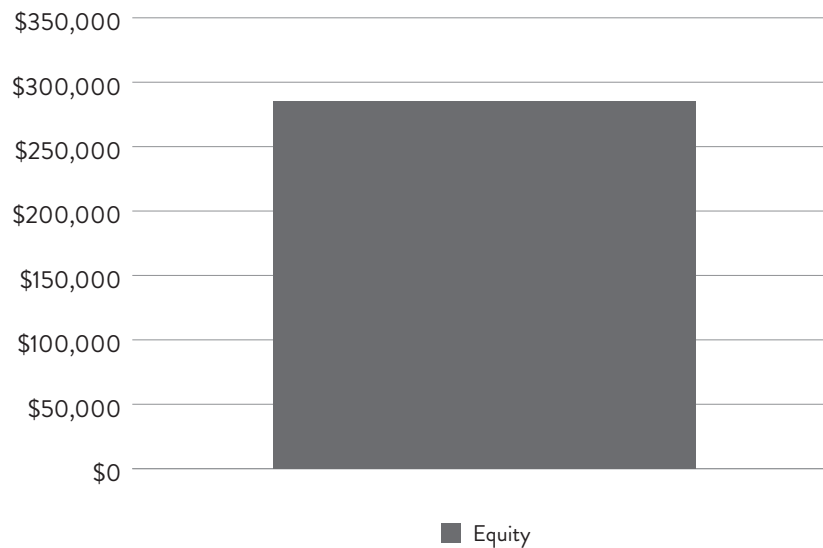
| INCOME                                 |            |                    |
|----------------------------------------|------------|--------------------|
|                                        | Avg. Rent  | <b>\$1,103</b>     |
|                                        | # of Units | 150                |
| Gross Potential Rent                   |            | \$1,985,400        |
| - Vacancy                              |            | (\$107,212)        |
| - Concessions, Loss to Lease, Bad Debt |            | (\$65,518)         |
| Effective Gross Income                 |            | \$1,812,670        |
| Other Income                           |            | \$158,865          |
| <b>Gross Operating Income:</b>         |            | <b>\$1,971,535</b> |
| EXPENSES                               |            |                    |
| Real Estate Taxes                      |            | \$241,000          |
| Insurance                              |            | \$105,150          |
| Trash Removal                          |            | \$10,897           |
| Electric                               |            | \$17,791           |
| Gas                                    |            | \$13,981           |
| Water and Sewer                        |            | \$71,697           |
| Repairs & Maintenance                  |            | \$73,245           |
| Contract & Professional Services       |            | \$54,608           |
| General & Administrative               |            | \$45,447           |
| Payroll and Benefits                   |            | \$191,521          |
| Marketing and Advertising              |            | \$21,556           |
| Management Fees                        |            | \$59,146           |
| Replacement Reserve                    |            | \$49,238           |
| <b>Operating Expenses:</b>             |            | <b>\$955,276</b>   |
| <b>Net Operating Income (NOI):</b>     |            | <b>\$1,016,259</b> |

## CHAPTER 25

# CAPITAL STACKS

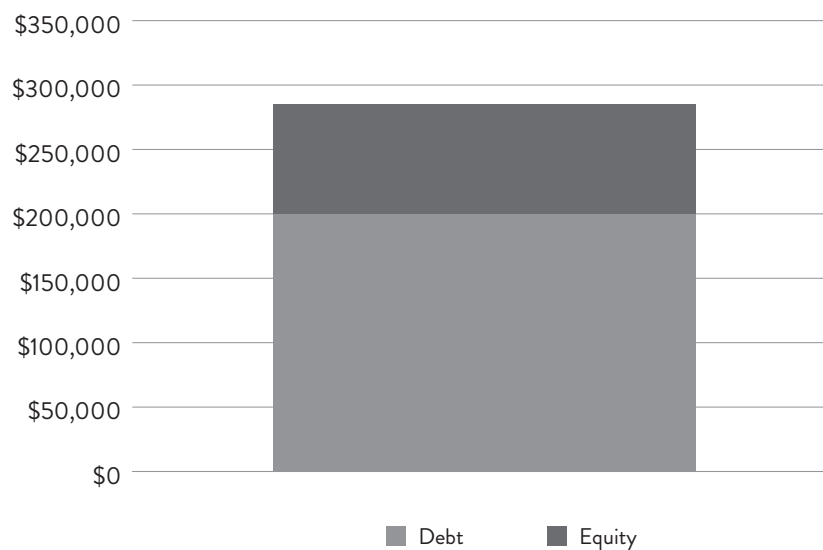
Graph 50

### CAPITAL STACK | RENTAL PROP LLC



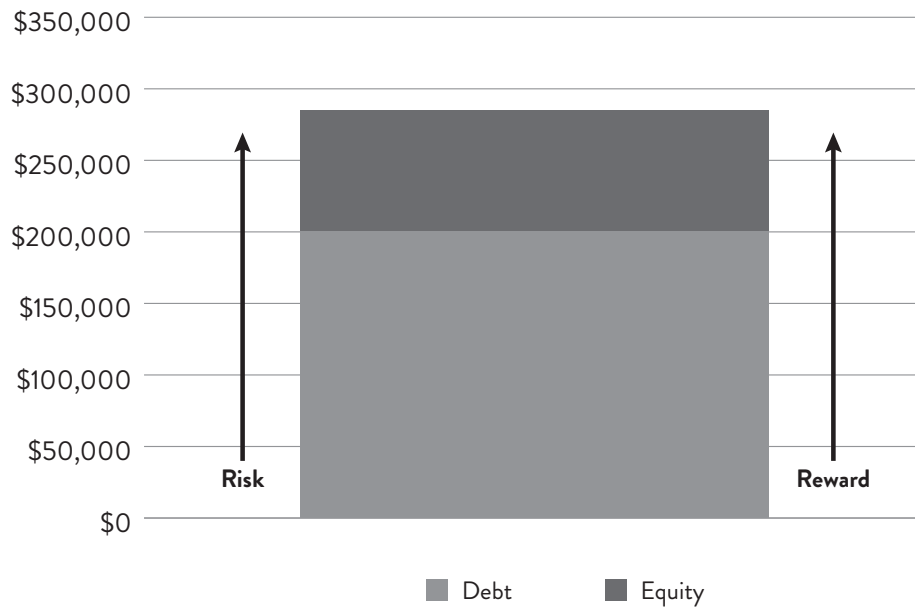
Graph 51

### CAPITAL STACK | RENTAL PROP LLC



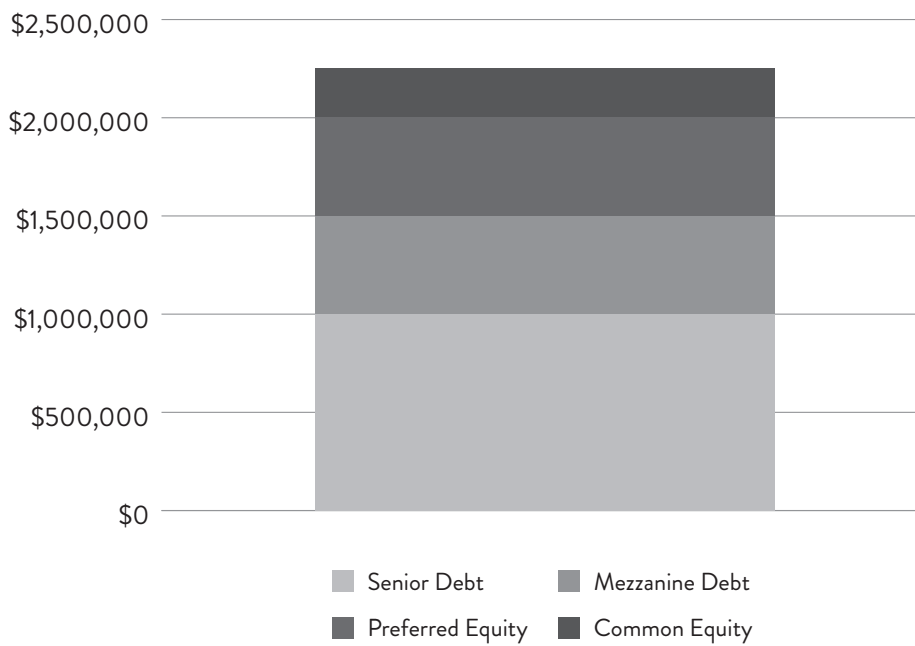
Graph 52

CAPITAL STACK | RENTAL PROP LLC



Graph 53

CAPITAL STACK | RENTAL PROP LLC

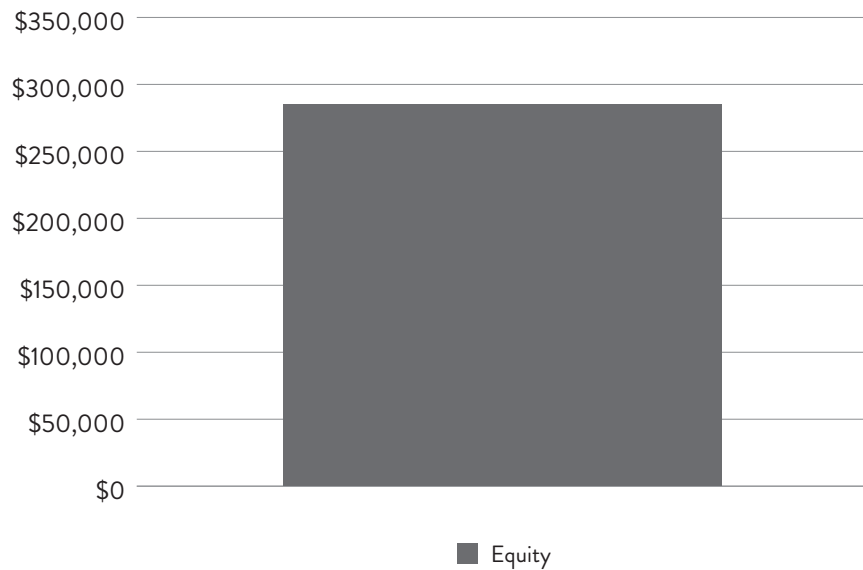


## CHAPTER 26

# FUNDING DEALS WITH EQUITY

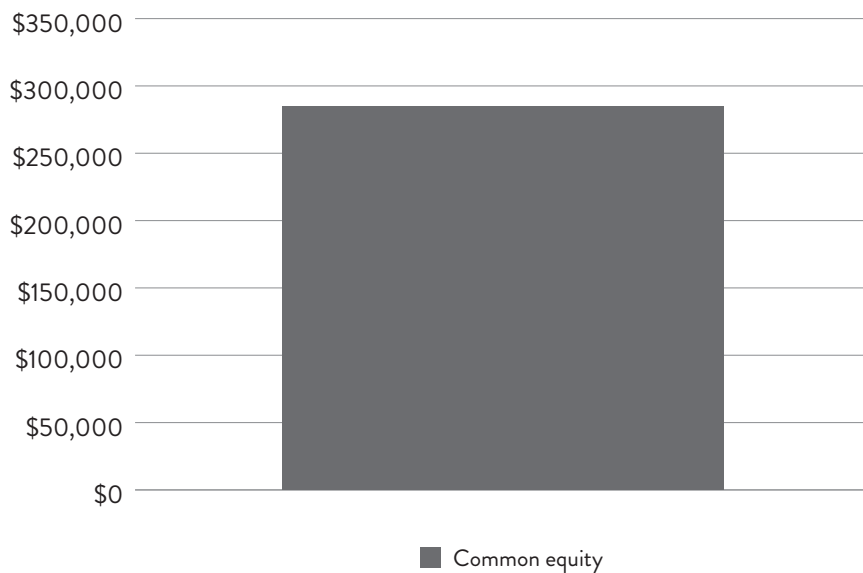
Graph 54

### CAPITAL STACK | RENTAL PROP LLC



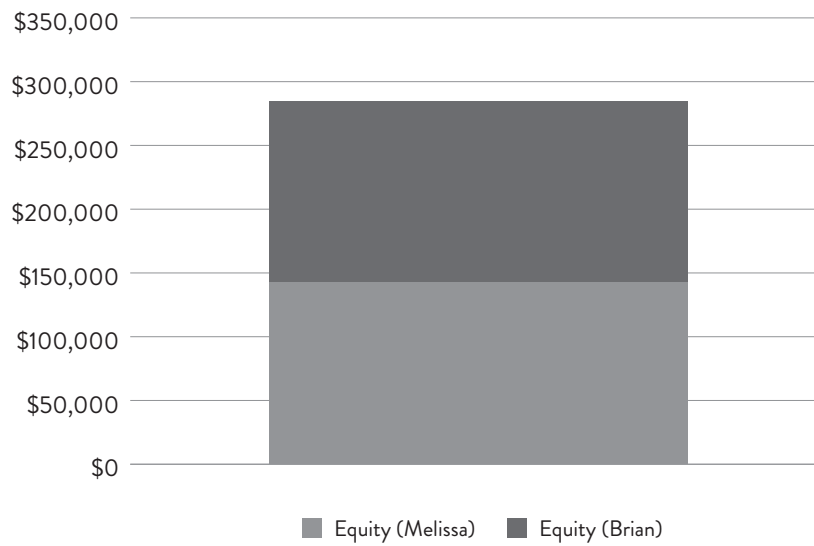
Graph 55

### CAPITAL STACK | RENTAL PROP LLC



Graph 56

CAPITAL STACK | RENTAL PROP LLC



## CHAPTER 28

# INTRODUCTION TO DEBT FINANCING

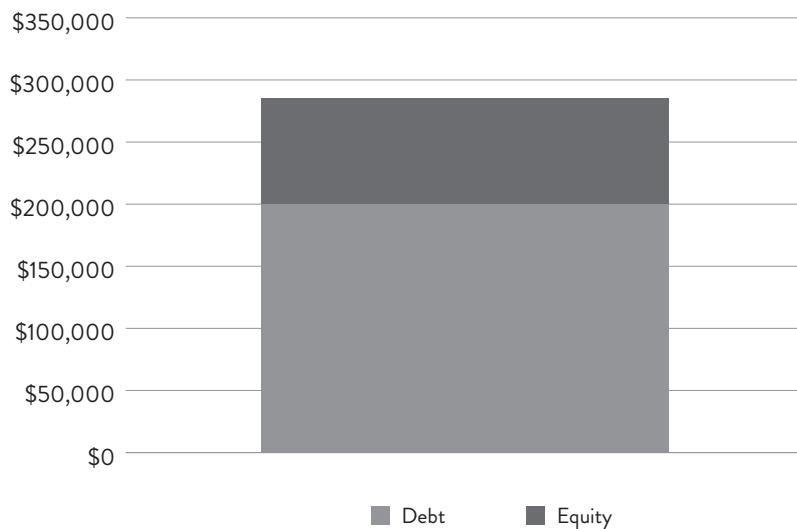
Graph 57

### CAPITAL STACK | RENTAL PROP LLC



Graph 58

### CAPITAL STACK | RENTAL PROP LLC

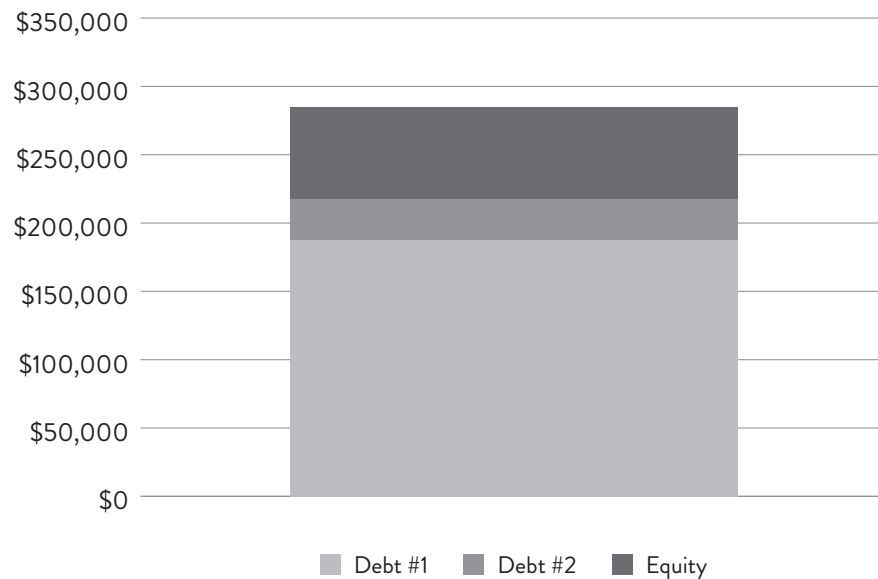


### Chart 59

| EXPENSE           | AMOUNT           | DEBT             | EQUITY          |
|-------------------|------------------|------------------|-----------------|
| Purchase Price    | \$250,000        | \$187,500        | \$62,500        |
| Closing Costs     | \$5,000          | \$0              | \$5,000         |
| Rehab Costs       | \$20,000         | \$0              | \$20,000        |
| Operating Reserve | \$10,000         | \$0              | \$10,000        |
| <b>TOTAL</b>      | <b>\$285,000</b> | <b>\$187,500</b> | <b>\$97,500</b> |

### Graph 60

#### CAPITAL STACK | RENTAL PROP LLC

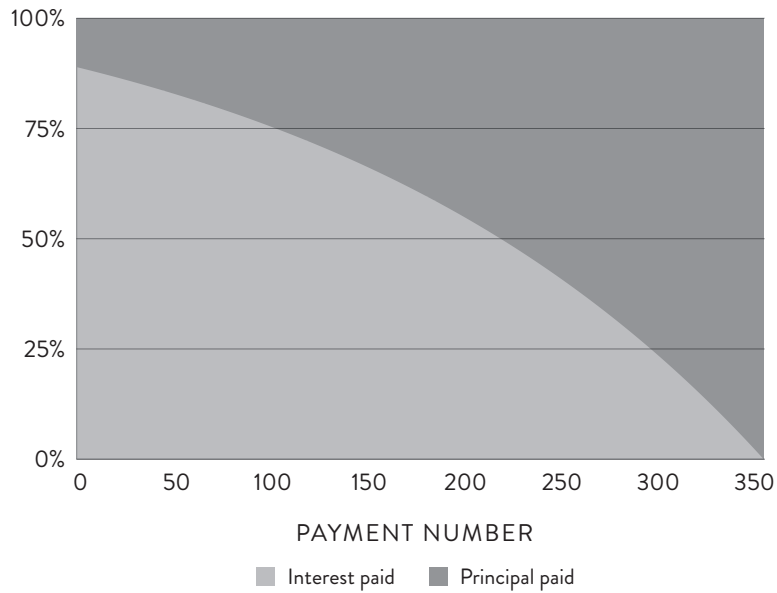


## CHAPTER 30

# THE ANATOMY OF A LOAN

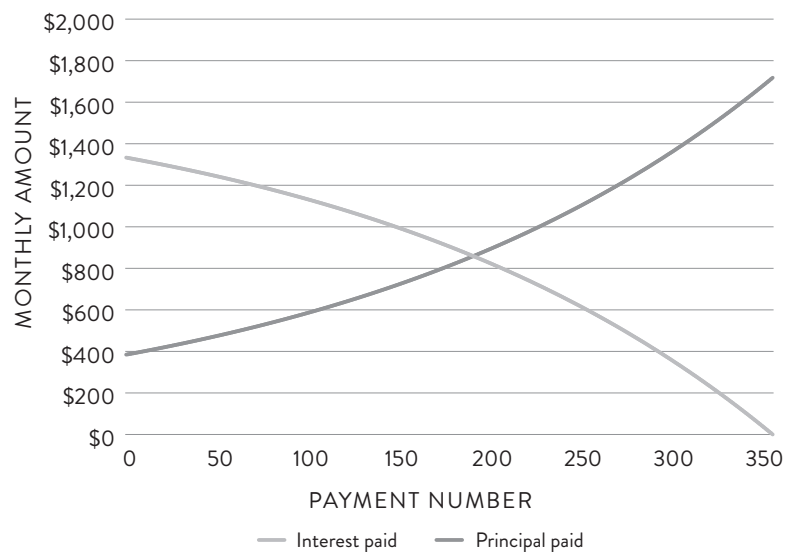
Graph 61

AMORTIZATION CHART



Graph 62

COMPOSITION OF MONTHLY MORTGAGE PAYMENT





Graph 63

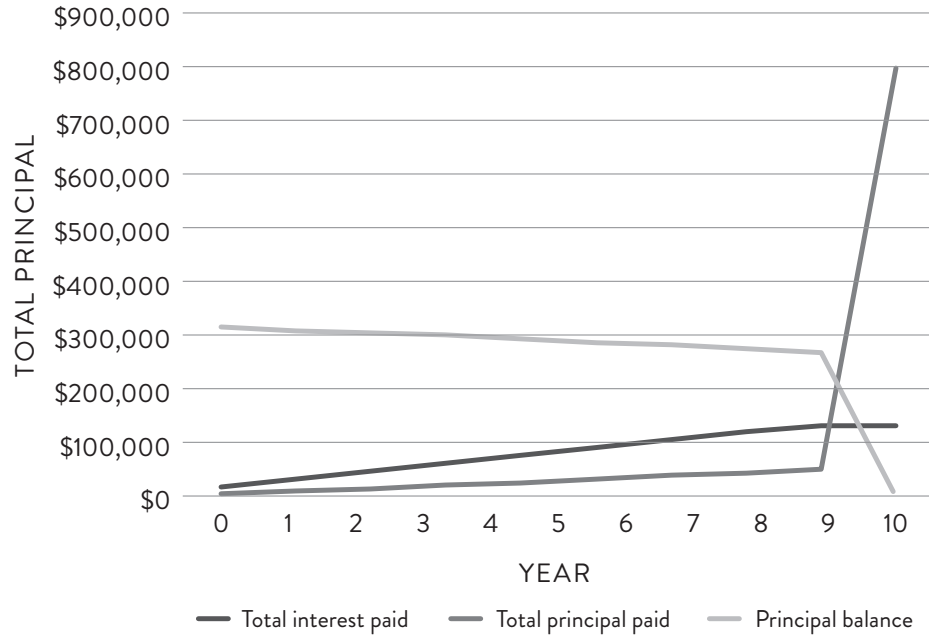


Chart 64

| YEAR | PAYMENT (\$) | INTEREST PAID | PRINCIPAL PAID | TOTAL INTEREST PAID | TOTAL PRINCIPAL PAID | PRINCIPAL BALANCE |
|------|--------------|---------------|----------------|---------------------|----------------------|-------------------|
| 1    | \$3,819.32   | \$2,623.69    | \$1,195.63     | \$31,743.58         | \$14,088.29          | \$787,107.34      |
| 2    | \$3,819.32   | \$2,574.98    | \$1,244.34     | \$62,913.18         | \$28,750.56          | \$772,493.78      |
| 3    | \$3,819.32   | \$2,524.28    | \$1,295.04     | \$93,485.41         | \$44,010.20          | \$757,284.84      |
| 4    | \$3,819.32   | \$2,471.52    | \$1,347.80     | \$123,435.94        | \$59,891.53          | \$741,456.27      |
| 5    | \$3,819.32   | \$2,416.61    | \$1,402.71     | \$152,739.45        | \$76,419.89          | \$724,982.82      |
| 6    | \$3,819.32   | \$2,359.46    | \$1,459.86     | \$181,369.56        | \$93,621.65          | \$707,838.21      |
| 7    | \$3,819.32   | \$2,299.98    | \$1,519.34     | \$209,298.85        | \$111,524.23         | \$689,995.11      |
| 8    | \$3,819.32   | \$2,238.08    | \$1,581.24     | \$236,498.75        | \$130,156.19         | \$671,425.05      |
| 9    | \$3,819.32   | \$2,173.66    | \$1,645.66     | \$262,939.57        | \$149,547.25         | \$652,098.41      |
| 10   | \$652,098.41 | \$0.00        | \$652,098.41   | \$262,939.57        | \$800,000.00         | \$0.00            |

Chart 65

| YEAR | PAYMENT (\$) | INTEREST PAID | PRINCIPAL PAID | TOTAL INTEREST PAID | TOTAL PRINCIPAL PAID | PRINCIPAL BALANCE |
|------|--------------|---------------|----------------|---------------------|----------------------|-------------------|
| 1    | \$3,819.32   | \$2,623.69    | \$1,195.63     | \$31,743.58         | \$14,088.29          | \$787,107.34      |
| 2    | \$3,819.32   | \$2,574.98    | \$1,244.34     | \$62,913.18         | \$28,750.56          | \$772,493.78      |
| 3    | \$3,819.32   | \$2,524.28    | \$1,295.04     | \$93,485.41         | \$44,010.20          | \$757,284.84      |
| 4    | \$3,819.32   | \$2,471.52    | \$1,347.80     | \$123,435.94        | \$59,891.53          | \$741,456.27      |
| 5    | \$3,819.32   | \$2,416.61    | \$1,402.71     | \$152,739.45        | \$76,419.89          | \$724,982.82      |
| 6    | \$3,819.32   | \$2,359.46    | \$1,459.86     | \$181,369.56        | \$93,621.65          | \$707,838.21      |
| 7    | \$3,819.32   | \$2,299.98    | \$1,519.34     | \$209,298.85        | \$111,524.23         | \$689,995.11      |
| 8    | \$3,819.32   | \$2,238.08    | \$1,581.24     | \$236,498.75        | \$130,156.19         | \$671,425.05      |
| 9    | \$3,819.32   | \$2,173.66    | \$1,645.66     | \$262,939.57        | \$149,547.25         | \$652,098.41      |
| 10   | \$3,819.32   | \$2,106.61    | \$1,712.71     | \$288,590.36        | \$169,728.33         | \$631,984.38      |
| 11   | \$3,819.32   | \$2,036.84    | \$1,782.49     | \$313,418.94        | \$190,731.61         | \$611,050.87      |
| 12   | \$3,819.32   | \$1,964.22    | \$1,855.11     | \$337,391.82        | \$212,590.60         | \$589,264.50      |
| 13   | \$3,819.32   | \$1,888.64    | \$1,930.69     | \$360,474.12        | \$235,340.16         | \$566,590.52      |
| 14   | \$3,819.32   | \$1,809.98    | \$2,009.35     | \$382,629.58        | \$259,016.58         | \$542,992.77      |
| 15   | \$3,819.32   | \$1,728.11    | \$2,091.21     | \$403,820.42        | \$283,657.60         | \$518,433.61      |
| 16   | \$3,819.32   | \$1,642.91    | \$2,176.41     | \$424,007.35        | \$309,302.54         | \$492,873.87      |
| 17   | \$3,819.32   | \$1,554.24    | \$2,265.08     | \$443,149.46        | \$335,992.30         | \$466,272.78      |
| 18   | \$3,819.32   | \$1,461.96    | \$2,357.36     | \$461,204.20        | \$363,769.43         | \$438,587.93      |
| 19   | \$3,819.32   | \$1,365.92    | \$2,453.41     | \$478,127.25        | \$392,678.25         | \$409,775.15      |
| 20   | \$3,819.32   | \$1,265.96    | \$2,553.36     | \$493,872.50        | \$422,764.86         | \$379,788.50      |
| 21   | \$3,819.32   | \$1,161.93    | \$2,657.39     | \$508,391.99        | \$454,077.25         | \$348,580.14      |
| 22   | \$3,819.32   | \$1,053.67    | \$2,765.65     | \$521,635.76        | \$486,665.35         | \$316,100.31      |
| 23   | \$3,819.32   | \$940.99      | \$2,878.33     | \$533,551.84        | \$520,581.13         | \$282,297.20      |
| 24   | \$3,819.32   | \$823.72      | \$2,995.60     | \$544,086.14        | \$555,878.70         | \$247,116.90      |
| 25   | \$3,819.32   | \$701.68      | \$3,117.64     | \$553,182.36        | \$592,614.35         | \$210,503.29      |
| 26   | \$3,819.32   | \$574.66      | \$3,244.66     | \$560,781.91        | \$630,846.67         | \$172,398.00      |
| 27   | \$3,819.32   | \$442.47      | \$3,376.85     | \$566,823.82        | \$670,636.62         | \$132,740.23      |
| 28   | \$3,819.32   | \$304.89      | \$3,514.43     | \$571,244.63        | \$712,047.69         | \$91,466.75       |
| 29   | \$3,819.32   | \$161.71      | \$3,657.62     | \$573,978.28        | \$755,145.90         | \$48,511.72       |
| 30   | \$3,819.32   | \$12.69       | \$3,806.63     | \$574,956.05        | \$800,000.00         | \$3,806.63        |

## CHAPTER 34

# POSITIVE AND NEGATIVE LEVERAGE

Chart 66

|                    | NO LOAN      | LOAN @ 4.5%  | LOAN @ 7%    |
|--------------------|--------------|--------------|--------------|
| Purchase Price     | \$100,000.00 | \$100,000.00 | \$100,000.00 |
| Loan Amount        | 0            | 80000        | 80000        |
| Down Payment (DP)  | \$100,000.00 | \$20,000.00  | \$20,000.00  |
| Interest Rate      | N/A          | 4.50%        | 7.00%        |
| Cash Flow          | \$7,200.00   | \$2,340.00   | \$816.00     |
| ROI (Cash Flow/DP) | 7.20%        | 11.70%       | 4.10%        |

## CHAPTER 36

# BOOSTING RETURNS WITH LEVERAGE

Chart 67

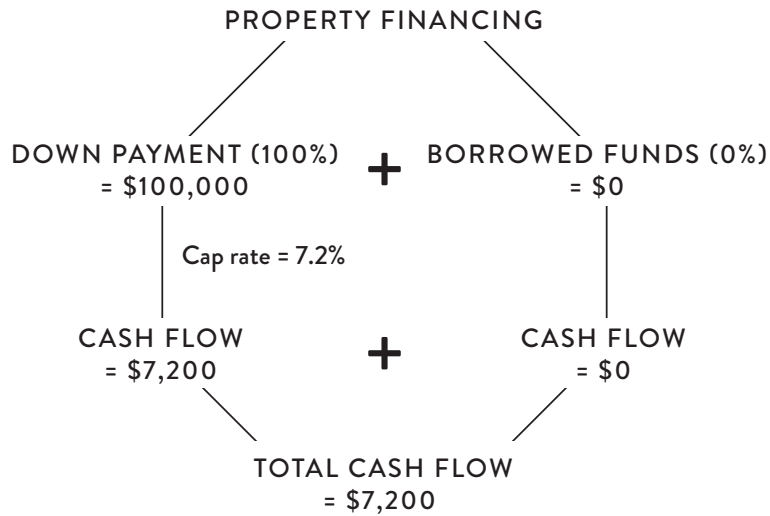
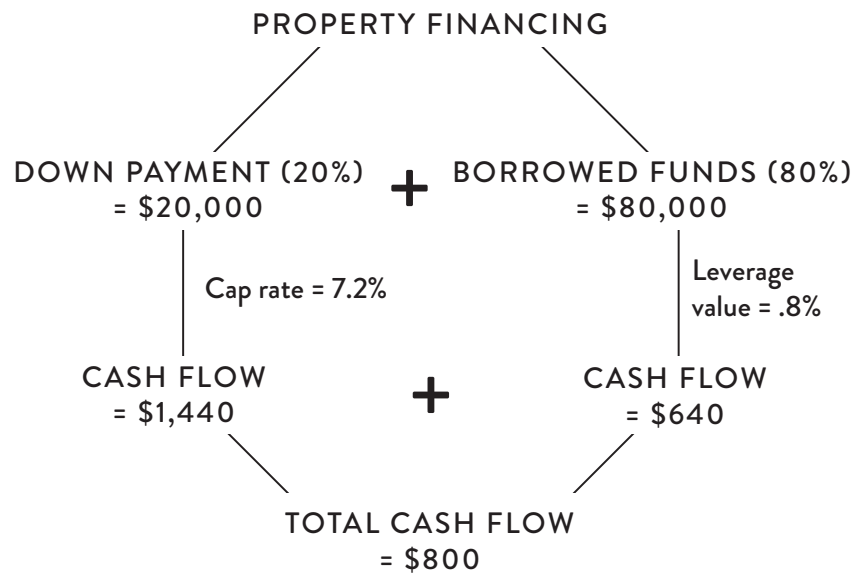


Chart 68



# CHAPTER 37

## RETURN ON EQUITY (ROE) AND REFINANCING

Chart 69

|                         | TIME OF<br>PURCHASE | 5 YEARS LATER | REFINANCE  |
|-------------------------|---------------------|---------------|------------|
| Property Value          | \$400,000           | \$450,000     | \$450,000  |
| Down Payment            | \$80,000            | \$80,000      | \$90,000   |
| Interest Rate           | 4%                  | 4%            | 4%         |
| Loan Balance            | \$320,000           | \$290,000     | \$340,000  |
| Equity (\$)             | \$80,000            | \$160,000     | \$90,000   |
| Equity (%)              | 20%                 | 36%           | 20%        |
| Cash Flow               | \$8,000             | \$10,000      | \$9,000    |
| <b>Return on Equity</b> | <b>10%</b>          | <b>6%</b>     | <b>10%</b> |
| <b>Cash Out</b>         |                     |               | \$70,000   |

CHAPTER 38

# TRANSACTIONAL (ACTIVE) VERSUS RESIDUAL (PASSIVE) INCOME

Chart 70

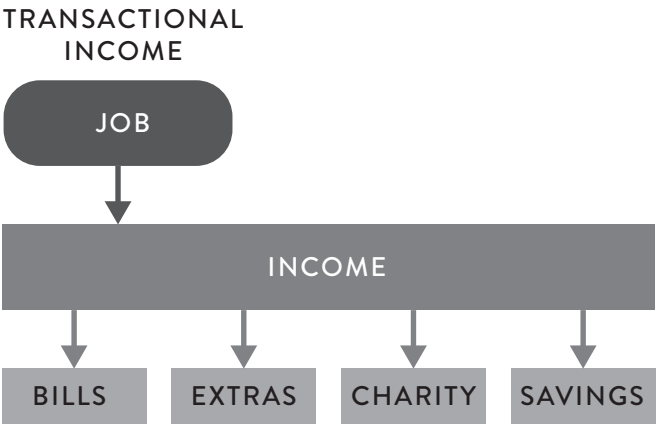


Chart 71

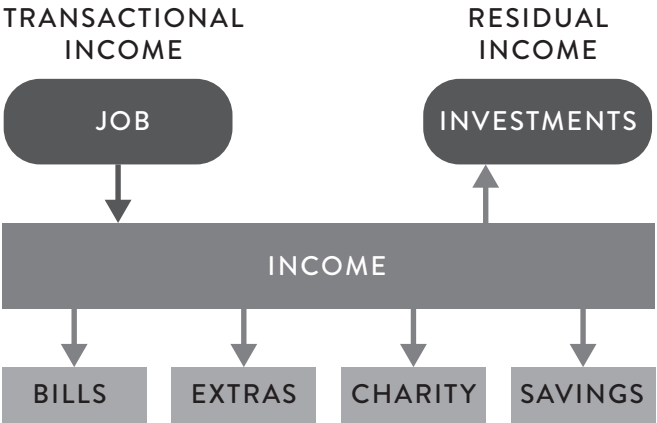


Chart 72

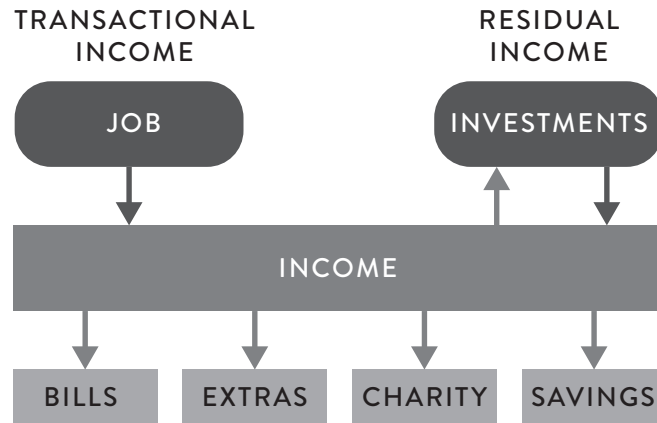


Chart 73

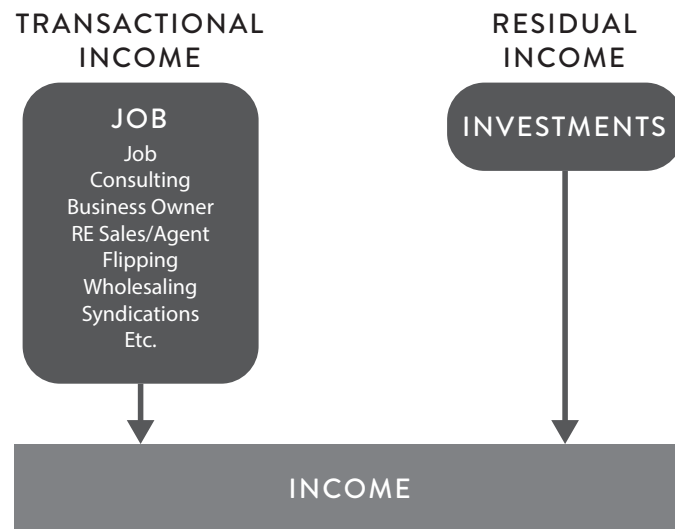
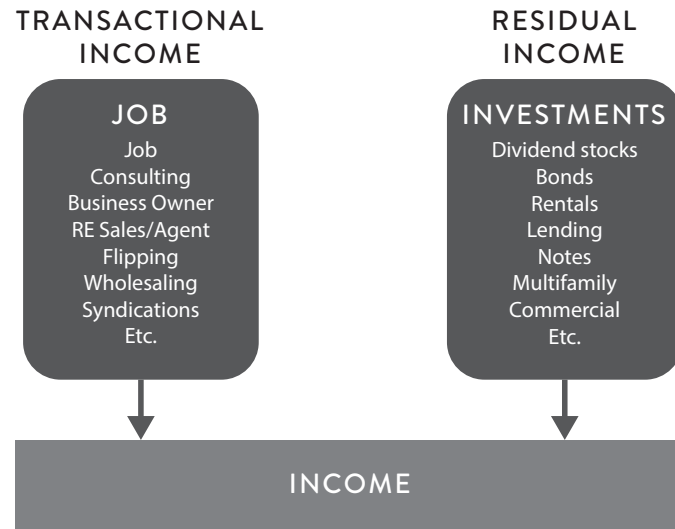


Chart 74

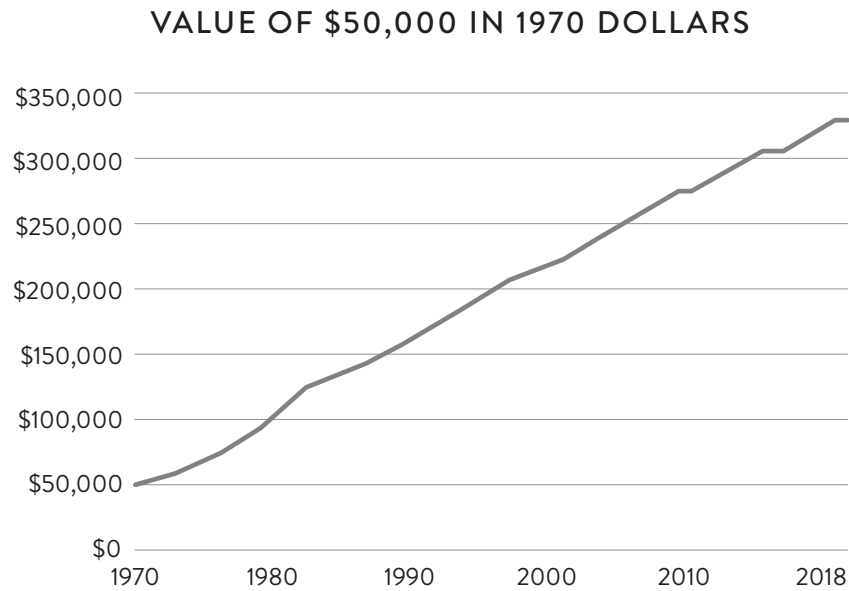




# CHAPTER 39

## THE FOUR WAYS THAT REAL ESTATE GENERATES RETURNS

Graph 75



CHAPTER 40

THE COMPOUNDING MACHINE: PLANNING YOUR  
FINANCIAL FREEDOM

Chart 76

| STARTING<br>AMOUNT | MONTHLY<br>CONTRIBUTION | ANNUALIZED<br>COMPOUNDED<br>RETURN | YEARS OF<br>COMPOUNDING | NET WORTH<br>TARGET |
|--------------------|-------------------------|------------------------------------|-------------------------|---------------------|
| \$0                | \$5,000                 | 12%                                | ?                       | \$2,000,000         |

Chart 77

| STARTING<br>AMOUNT | MONTHLY<br>CONTRIBUTION | ANNUALIZED<br>COMPOUNDED<br>RETURN | YEARS OF<br>COMPOUNDING | NET WORTH<br>TARGET |
|--------------------|-------------------------|------------------------------------|-------------------------|---------------------|
| \$0                | \$5,000                 | 12%                                | 14                      | \$2,000,000         |

Chart 78

| STARTING<br>AMOUNT | MONTHLY<br>CONTRIBUTION | ANNUALIZED<br>COMPOUNDED<br>RETURN | YEARS OF<br>COMPOUNDING | NET WORTH<br>TARGET |
|--------------------|-------------------------|------------------------------------|-------------------------|---------------------|
| \$80,000           | \$7,500                 | 8.8%                               | 8                       | \$1,200,000         |

## CHAPTER 41

# ANALYZING DEALS

Chart 79

| TYPES OF DEALS | CASH FLOW | APPRECIATION | AMORITIZATION | TAX BENEFITS |
|----------------|-----------|--------------|---------------|--------------|
| Transactional  | ✗         | ✓            | ✗             | ✗            |
| Residual       | ✓         | ✓            | ✓             | ✓            |

## CHAPTER 42

# ANALYZING TRANSACTIONAL DEALS

Chart 80

| PURCHASE COSTS             |                      |
|----------------------------|----------------------|
| Appraisals                 | (\$450.00)           |
| Loan origination costs     | (\$1,750.00)         |
| Inspections/surveys        | (\$500.00)           |
| Closing costs              | (\$1,000.00)         |
| <b>TOTAL</b>               | <b>-\$3,700.00</b>   |
| REHAB COSTS                |                      |
| Contractor/labor           | (\$24,000.00)        |
| Materials                  | (\$16,000.00)        |
| <b>TOTAL</b>               | <b>-\$40,000.00</b>  |
| HOLDING COSTS              |                      |
| Interest payments          | (\$2,000.00)         |
| Property taxes during hold | (\$350.00)           |
| Insurance                  | (\$500.00)           |
| Utilities                  | (\$250.00)           |
| Lawn care                  | (\$200.00)           |
| <b>TOTAL</b>               | <b>-\$3,300.00</b>   |
| SELLING COSTS              |                      |
| Commission to agents       | (\$12,000.00)        |
| Closing costs              | (\$1,000.00)         |
| <b>TOTAL</b>               | <b>-\$13,000.00</b>  |
| <b>TOTAL EXPENSES</b>      | <b>(\$60,000.00)</b> |

## CHAPTER 43

# ANALYZING TRANSACTIONAL RETURNS

Chart 81

| MONTH 1           |                   |
|-------------------|-------------------|
| Purchase property | (\$100,000)       |
| Loans received    | \$80,000          |
| Purchase costs    | (\$3,700)         |
| Renovation costs  | (\$10,000)        |
| Holding costs     | (\$825)           |
| <b>TOTAL</b>      | <b>(\$34,525)</b> |
| MONTH 2           |                   |
| Renovation costs  | (\$15,000)        |
| Holding costs     | (\$825)           |
| <b>TOTAL</b>      | <b>(\$15,825)</b> |
| MONTH 3           |                   |
| Renovation costs  | (\$15,000)        |
| Holding costs     | (\$825)           |
| <b>TOTAL</b>      | <b>(\$15,825)</b> |
| MONTH 4           |                   |
| Holding costs     | (\$825)           |
| Sale of property  | \$200,000         |
| Pay off loan      | (\$80,000)        |
| Selling costs     | (\$13,000)        |
| <b>TOTAL</b>      | <b>\$106,175</b>  |

## Chart 82

| PURCHASE COSTS             |                      |
|----------------------------|----------------------|
| Appraisals                 | (\$450.00)           |
| Loan origination costs     | \$0.00               |
| Inspections/surveys        | (\$500.00)           |
| Closing costs              | (\$1,000.00)         |
| <b>TOTAL</b>               | <b>-\$1,950.00</b>   |
| REHAB COSTS                |                      |
| Contractor/labor           | (\$24,000.00)        |
| Materials                  | (\$16,000.00)        |
| <b>TOTAL</b>               | <b>-\$40,000.00</b>  |
| HOLDING COSTS              |                      |
| Interest payments          | \$0.00               |
| Property taxes during hold | (\$350.00)           |
| Insurance                  | (\$500.00)           |
| Utilities                  | (\$250.00)           |
| Lawn care                  | (\$200.00)           |
| <b>TOTAL</b>               | <b>-\$1,300.00</b>   |
| SELLING COSTS              |                      |
| Commission to agents       | (\$12,000.00)        |
| Closing costs              | (\$1,000.00)         |
| <b>TOTAL</b>               | <b>-\$13,000.00</b>  |
| <b>TOTAL EXPENSES</b>      | <b>(\$56,250.00)</b> |

## Chart 83

| MONTH 1           |                    |
|-------------------|--------------------|
| Purchase property | (\$100,000)        |
| Loans received    | \$0                |
| Purchase costs    | (\$1,950)          |
| Renovation costs  | (\$10,000)         |
| Holding costs     | (\$425)            |
| <b>TOTAL</b>      | <b>(\$112,375)</b> |
| MONTH 2           |                    |
| Renovation costs  | (\$15,000)         |
| Holding costs     | (\$425)            |
| <b>TOTAL</b>      | <b>(\$15,425)</b>  |
| MONTH 3           |                    |
| Renovation costs  | (\$15,000)         |
| Holding costs     | (\$425)            |
| <b>TOTAL</b>      | <b>(\$15,425)</b>  |
| MONTH 4           |                    |
| Holding costs     | (\$425)            |
| Sale of property  | \$200,000          |
| Pay off loan      | \$0                |
| Selling costs     | (\$13,000)         |
| <b>TOTAL</b>      | <b>\$186,575</b>   |

## Chart 84

|                    | LEVERAGE | NO LEVERAGE |
|--------------------|----------|-------------|
| Profit             | \$40,000 | \$43,750    |
| ROI                | 59.7%    | 30.5%       |
| Average annual ROI | 179.1%   | 91.6%       |
| IRR                | 1059.2%  | 229.6%      |

## CHAPTER 45

# ANALYZING A BUY-AND-HOLD RENTAL

Chart 85

| COST ASSUMPTIONS     |                  |
|----------------------|------------------|
| Purchase Price       | \$133,000        |
| Land Value (25%)     | \$33,250         |
| Building Value (75%) | \$99,750         |
| Improvements         | \$15,000         |
| Closing Costs        | \$4,655          |
| Reserves             | \$0              |
| <b>TOTAL COST</b>    | <b>\$152,655</b> |

Chart 86

| FINANCING ASSUMPTIONS |                 |
|-----------------------|-----------------|
| Down Payment          | 25%             |
| Finance Amount        | \$114,491       |
| Down Payment Amount   | \$38,164        |
| Interest Rate         | 4.125%          |
| Mortgage (Years)      | 25              |
| Mortgage Payment      | \$612.26        |
| <b>CASH OUTLAY</b>    | <b>\$38,164</b> |

Chart 87

| INCOME                        |                 |
|-------------------------------|-----------------|
| Gross Potential Rent          | \$18,900        |
| Rent Loss                     | (\$1,134)       |
| Other Income                  | \$0             |
| <b>GROSS OPERATING INCOME</b> | <b>\$17,766</b> |



### Chart 88

| INCOME                        |                 |
|-------------------------------|-----------------|
| Gross Potential Rent          | \$18,900        |
| Rent Loss                     | (\$1,134)       |
| Other Income                  | \$0             |
| <b>GROSS OPERATING INCOME</b> | <b>\$17,766</b> |
| EXPENSES                      |                 |
| Property Taxes                | \$1,700         |
| Insurance                     | \$987           |
| Property Management           | \$1,777         |
| Turnover                      | \$800           |
| Repairs & Maintenance         | \$600           |
| Utilities                     | \$200           |
| Pool Maintenance              | \$900           |
| <b>OPERATING EXPENSES</b>     | <b>\$6,964</b>  |
| <b>NET OPERATING INCOME</b>   | <b>\$10,802</b> |

### Chart 89

| ITEM                   | COST    | SERVICE LIFE | \$/YEAR           |
|------------------------|---------|--------------|-------------------|
| Roof                   | \$8,000 | 25           | \$320.00          |
| HVAC                   | \$5,000 | 20           | \$250.00          |
| Water Heater           | \$1,000 | 10           | \$100.00          |
| Electrical System      | \$5,000 | 40           | \$125.00          |
| Plumbing System        | \$5,000 | 40           | \$125.00          |
| Appliances             | \$2,000 | 6            | \$333.33          |
| Siding                 | \$2,000 | 30           | \$66.67           |
| <b>Annual Average:</b> |         |              | <b>\$1,320.00</b> |

## CHAPTER 47

# ANALYZING AND EVALUATING A BRRRR DEAL

Chart 90

| INCOME                        |                 |
|-------------------------------|-----------------|
| Gross Potential Rent          | \$18,900        |
| Rent Loss                     | (\$1,134)       |
| Other Income                  | \$0             |
| <b>GROSS OPERATING INCOME</b> | <b>\$17,766</b> |
| EXPENSES                      |                 |
| Property Taxes                | \$1,700         |
| Insurance                     | \$987           |
| Property Management           | \$1,777         |
| Turnover                      | \$800           |
| Repairs & Maintenance         | \$600           |
| Utilities                     | \$200           |
| Pool Maintenance              | \$900           |
| <b>OPERATING EXPENSES</b>     | <b>\$6,964</b>  |
| <b>NET OPERATING INCOME</b>   | <b>\$10,802</b> |
| Debt Service                  | (\$8,591)       |
| Capital Expenses              | (\$1,320)       |
| <b>CASH FLOW</b>              | <b>\$891</b>    |

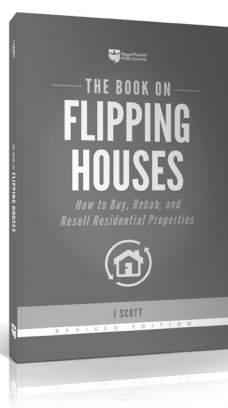
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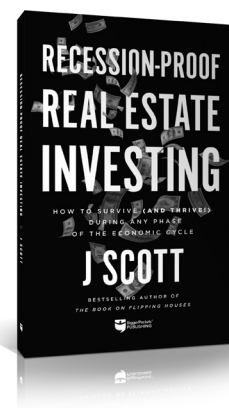
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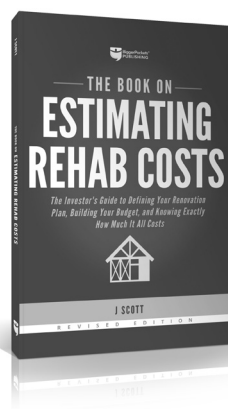
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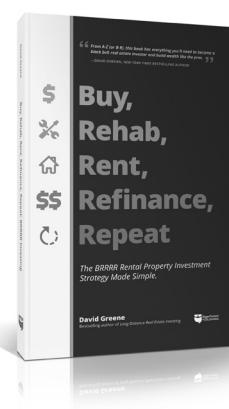
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## *Buy, Rehab, Rent, Refinance, Repeat*

Invest in real estate and never run out of money! In *Buy, Rehab, Rent, Refinance, Repeat*, you'll discover the incredible strategy known as BRRRR—a long-hidden secret of the ultra-rich and those with decades of experience. Author and investor David Greene holds nothing back, sharing the exact systems and processes he used to scale his business from buying two houses per year to buying two houses per month using the BRRRR strategy.



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